TRADING FOUNDRY

COURSE PLAYBOOK · INTERMEDIATE · 10 LESSONS

Breakout & Retest *Trading.*

Trade the breaks that hold, step aside from the ones that trap — and let the retest prove the level before you pay for it.



EDUCATION ONLY — NOT FINANCIAL ADVICE. CHARTS ARE ILLUSTRATIVE, SYNTHETIC PRICE DATA.

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What you will be able to do

- Explain, in order-flow terms, why so many breakouts fail — and use that to decide which breaks to leave alone
- Spot volatility compression and squeezes before a break, and grade a consolidation as tradeable or noise
- Mark the one level that matters on a chart in under a minute, using a repeatable top-down routine
- Grade a breakout candle A, B or C on its close, body, wick and follow-through before risking anything
- Choose between a momentum entry and a retest entry from written conditions, not mood — and run the split-position hybrid
- Read role reversal at the retest and enter only when the broken level proves it has changed sides
- Recognise false breaks and reclaims as they happen, exit without negotiation, and trade the failed break when it qualifies
- Trade flags, pennants and triangles as breakout structures, with structural stops, measured-move targets and news-risk rules

This playbook is educational content only. It is not financial advice and nothing in it is a recommendation to buy or sell any instrument. Every chart is an illustrative training example built from synthetic price data — not a record of real market history or results. Trading foreign exchange on margin carries a high level of risk.

Why Breakouts Fail So Often.

MODULE 1 — WHY BREAKS FAIL, AND WHERE THEY START · LESSON 1

Explain what actually happens in the order book when a level breaks, and use it to predict which breakouts are likely to fail before you risk a penny.

Every trader has bought a breakout at the exact high of the day. The level snaps, a big green candle surges through, you buy — and within three candles price is back inside the range, your stop is gone, and the market is running hard the other way. It feels personal. It is not. It is mechanical, and once you understand the mechanism, you stop being its fuel.

This course is about trading breakouts properly: which ones to take, which ones to leave, and why the most reliable entry usually comes *after* the break, when price returns to test the level it just broke. But we start with failure, because failure is the normal state of affairs. If you take one idea from this first lesson, take this: **a breakout is not a signal. It is a question the market asks, and most of the time the answer is no.**

Markets breathe in, then out

Markets do not trend all the time. Most of the time price drifts sideways in a band while buyers and sellers agree, roughly, on what something is worth. Candles are small. Swings are short. Then, occasionally, the agreement breaks down — news lands, positions get too crowded, a big order arrives — and price moves fast and far until it finds a new area of agreement.

That alternation — contraction, then expansion — is the reason breakout trading exists. Contraction stores energy: positions build up on both sides of a range, and so do the stop-losses protecting them. Expansion releases it. The breakout trader's job is to be positioned for the release without being fooled by the many false starts that precede it.

Where the orders actually sit

To understand why breaks fail, you need a picture of what is resting around an obvious range. There are three clusters of orders, and none of them are secret.

Stop-losses. Traders who sold the range high have protective buy stops just above it. Traders who bought the range low have sell stops just beneath it.

Breakout entries. Traders waiting for the level to go have buy-stop orders above resistance and sell-stop orders below support.

Range traders. People who intend to keep selling the top and buying the bottom until proven wrong, plus those taking profit from earlier moves.



Four rejections at the same ceiling have built a crowd of short positions — and every one of them has a buy stop just above the range. Add the breakout traders' buy orders and you have a pool of buying sitting a few pips above resistance. Below the floor sits the mirror image.

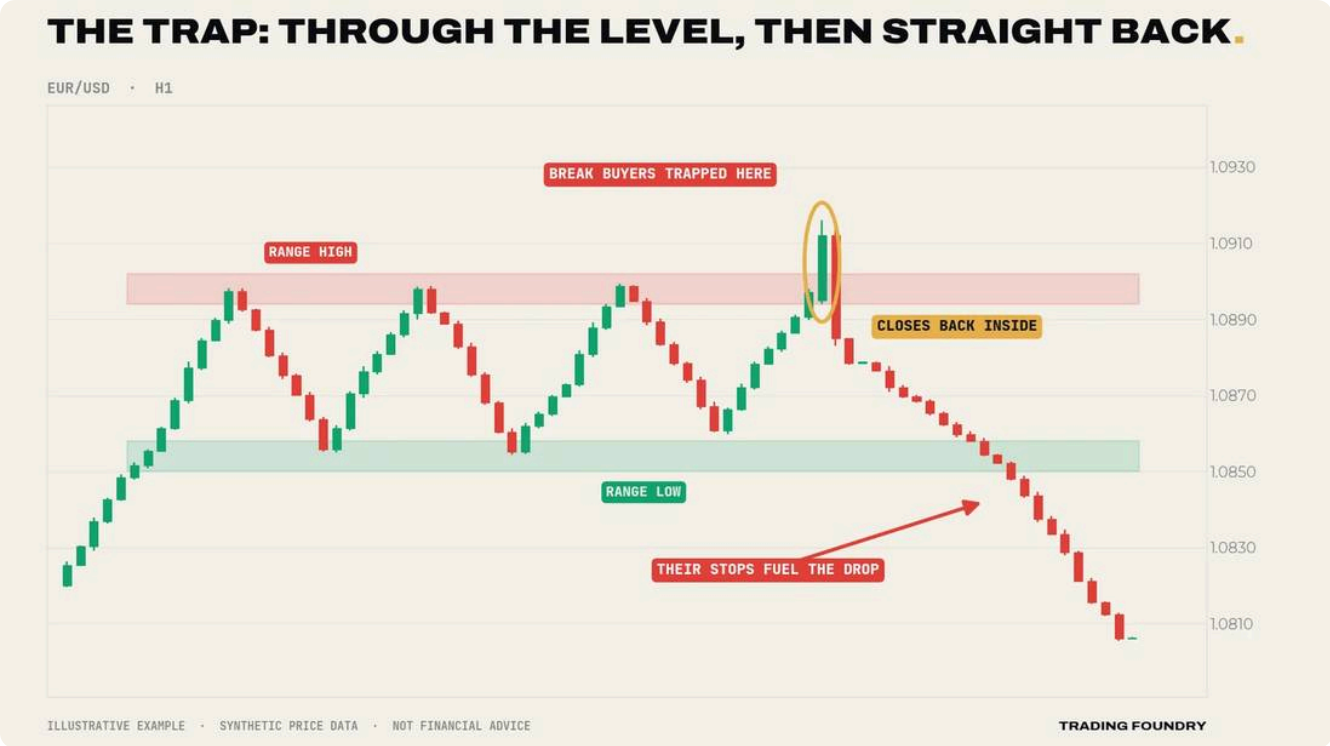
When price pushes through the range high, the first two clusters fire together. Shorts are forced to buy back; breakout traders buy to enter. That is a burst of one-way demand hitting a patch of the order book where sellers have been filled or have stepped away. Price jumps. This is why genuine breakouts often move quickly: they are partly powered by traders who are *wrong* and *have* to exit, which is the most motivated buying in the market.

Now notice the problem. That burst is finite. Once the trapped shorts have covered and the eager breakout buyers are filled, the move needs a second wave — fresh buyers who want to own the market at higher prices — or it stalls. And if a large seller was waiting for exactly this burst of buying to sell into, the burst is the *end* of the move, not the start.

The trap, step by step

Large participants cannot fill big orders in a quiet market; they need someone on the other side. The pool of buy orders above an obvious range high is the most convenient place on the chart to sell size, because thousands of buy orders trigger there at once. So price spikes above the level, the buying is absorbed, and the market falls back through. Everyone who bought the break is now trapped above, and their stops — back inside the range — become fuel for the move down.

No conspiracy is required. Nobody needs to "hunt" anybody. Liquidity simply clusters where the crowd puts its orders, and large orders go where the liquidity is.



The breakout candle closed above the range high — then the next candle erased it entirely. Once price is back inside, every trader who bought the break is underwater, and their exits push price through the range and out of the bottom. Same mechanics as a real break, opposite victim.

Look at the sequence carefully, because you will see it hundreds of times. The break looked convincing; it even closed above the level. The next candle handed it all back. Within a dozen bars price had travelled the full height of the range and broken the *other* side. Failed breakouts very often produce fast journeys to the opposite boundary, because the trapped traders have to get out and their exits all point the same way.

KEY POINT

A breakout is powered partly by traders who are forced to exit. That fuel runs out. If no fresh buyers arrive to replace it, the break fails — and the breakout buyers become the next forced exit.

What a break the market accepts looks like

Compare that with a break the market actually wants. The difference is rarely in the breakout candle itself. It is in what happens over the next few candles.



Rising lows pressed into the ceiling before the break, so the break was built rather than stumbled into. The breakout candle closed well clear of the zone, and the candles after it stayed above the old resistance. That acceptance on the far side is the market ratifying the break.

Three things separate this from the trap. First, the **approach**: lows were rising into the ceiling, so buyers were already turning up earlier each time. Second, the **close**: a full-bodied candle that finished well beyond the zone, not a wick poking through it. Third, **acceptance**: price paused but lived comfortably above the old resistance instead of slicing back through it. You will learn to grade all three in Module 2.

Breaks fail for reasons you can see in advance

Most failed breakouts are not random. They carry fingerprints that are visible *before* the trade. The common ones:

- **No compression.** The "range" was sloppy and overlapping, with spikes out of both sides. Nothing was coiled, so nothing was stored.
- **A bigger wall just beyond.** The level broke straight into a higher-timeframe level a few dozen pips away. There was no room to run.
- **Against the higher-timeframe trend.** A break against the dominant flow needs much stronger evidence, because the larger players are positioned the other way.
- **The wrong hour.** Thin, late-session or holiday conditions. A breakout needs participation. No participants, no breakout — just a spike.
- **A wick, not a close.** Price traded beyond the level but the candle closed back inside. That is a rejection dressed as a breakout.



The H1 break was textbook: a full-bodied close above a well-tested ceiling. But a daily resistance level sat only 26 pips overhead, and the trade's 2R target lay on the far side of it. Price stalled at the daily level and fell back through the range. The flaw was visible before entry: no room to run.

This last chart is the most painful kind of failure, because the break itself was textbook. Strong candle, clean close, obvious level. The trader did everything right *at the level* and nothing right *around* it. A daily resistance level sat just 26 pips overhead; the target required price to travel through it. The break ran straight into the wall and died.

COMMON MISTAKE

Judging a breakout only by the breakout candle. The candle tells you about the next hour. The level map tells you whether the next hour has anywhere to go.

Two ways to lose with breakouts

Breakout traders lose money in two distinct ways, and the second is sneakier than the first.

The first is obvious: **chasing traps**. You see a surging candle, fear missing out, and buy at the worst possible price — the exact place the pool of buy orders is being sold into. Then you hold a losing position on the wrong side of a failed level.

The second is the **whipsaw of conviction**. After being trapped three times, you refuse the next break — and that one is genuine and runs for two days without you. Burned out of money, then burned out of confidence. Most breakout traders cycle between these two states, letting the last trade decide how they treat the next one.

The way out is not courage. It is a written process: which levels, which conditions, which candle, which entry and which invalidation, decided *before* the session starts. Then the surging candle is just data against a checklist rather than a starting gun. That process is what this course builds, piece by piece.

Going deeper

For experienced traders, it is worth being precise about what "fail" means, because your testing depends on it. Three definitions are common, and they produce very different numbers:

1. **Close-back-inside failure** — the break is dead the moment a candle on your timeframe closes back inside the range. Strict, fast, and the definition this course uses for exits.
2. **Opposite-side failure** — the break is only counted as failed if price reaches the far side of the range. More forgiving, and it inflates apparent success.
3. **R-based failure** — the trade hits a fixed stop before a fixed target. This is the only definition that tells you about expectancy, because it includes your actual entry and exit rules.

Public estimates of breakout failure rates vary enormously because definitions vary, and because failure depends heavily on market, timeframe and session. We will not quote a number. Measure your own, on your own definition, on at least a hundred historical examples, and track trend-aligned and counter-trend breaks separately — they behave differently.

There is also a structural reason breakouts appear to fail more than they succeed: the denominator. Price touches and briefly exceeds levels constantly, and every one of those touches *looks* like a potential breakout in real time. Only a minority become sustained expansions. This is not a flaw in the strategy; it is the base rate the strategy has to filter. The edge, if there is one, comes from discarding most breaks and paying a good price for the few that pass.

Finally, an expectancy point, with clearly hypothetical numbers. Suppose a filtered breakout approach wins only 40% of the time but its winners average 2R and its losers 1R. Its expectancy is (0.4 × 2) − (0.6 × 1) = +0.2R per trade before costs. A strategy can be right less than half the time and still have a positive expectation — but only if its losses are kept small and cut quickly, which is exactly what breakout traders find hardest when a trap closes around them.

THE RULES

- A breakout is a question, not a signal. Never enter on the break alone without your other conditions.
- Only a candle close beyond the level counts as a break. A wick beyond the level is a rejection.
- Check the level map beyond the break before entry: no room to run, no trade.
- A close back inside the range ends the breakout idea immediately. Exit without negotiation.

Summary

- Markets alternate between contraction and expansion. Breakouts are the moment stored energy is released — or appears to be.
- Above an obvious range high sit shorts' stops and breakout buy orders; that pool of buying is what powers breaks and what larger sellers sell into.
- Failed breaks often run quickly to the other side of the range, because the trapped breakout buyers must exit.
- Genuine breaks are usually built (compression, rising lows), closed decisively, and accepted on the far side.
- Many failures are predictable: sloppy ranges, a bigger level just beyond, counter-trend breaks, dead sessions and wick-only breaks.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Why do genuine upside breakouts often move quickly at first?

   A. Brokers widen spreads after a break

   B. Short sellers' stops and breakout buy orders trigger together, creating a burst of one-way buying

   C. Range traders always buy the break

   D. Central banks intervene at round numbers

2. In the 'trap' chart, what was the decisive evidence that the breakout had failed?

   A. The breakout candle had a large body

   B. The next candle closed back inside the range

   C. Price later broke the range low

   D. The range had four touches

3. A strong H1 breakout candle closes above a range, but a daily resistance level sits 20 pips above. What is the main problem?

   A. The candle is too strong

   B. There is no room to run before a bigger level

   C. H1 breakouts never work

   D. The range was too long

4. Which of these is NOT a common fingerprint of a breakout likely to fail?

   A. A sloppy, overlapping range with spikes on both sides

   B. A break during thin, late-session conditions

   C. Rising lows pressing into a flat ceiling before the break

   D. A wick through the level with a close back inside

5. Hypothetically, a strategy wins 40% of trades, with winners averaging 2R and losers 1R. What is its expectancy before costs?

   A. −0.2R

   B. 0R

   C. +0.2R

   D. +0.8R

6. What is the 'whipsaw of conviction'?

   A. Price breaking both sides of a range in one session

   B. Refusing a genuine breakout because recent traps have shaken your confidence

C. Moving your stop to breakeven too early

D. Trading two breakouts at once

Compression and Volatility Squeezes.

MODULE 1 — WHY BREAKS FAIL, AND WHERE THEY START · LESSON 2

Recognise a market that is genuinely coiling before a break, measure the squeeze objectively, and reject sideways noise that only looks like a consolidation.

The best breakouts are loaded long before they fire. Hours or days before the big candle, the market goes quiet: candles shrink, swings get shorter, and price presses into a smaller and smaller box. Most traders find this phase boring and either ignore it or trade inside it out of restlessness. Breakout traders should find it the most interesting part of the chart, because it tells you *where* the energy is being stored and roughly *when* it is likely to be released.

This lesson teaches you to see compression, to measure it without guesswork, and — just as important — to tell a genuine coil from a sideways mess that will only produce false breaks.

Volatility moves in cycles

Volatility is not constant. It contracts and expands in a rough cycle: a period of large candles and wide swings is usually followed by a period of small candles and narrow swings, and that quiet period is usually followed by expansion again. It is one of the more dependable behaviours in markets, and it is the backbone of breakout trading.

Why does it happen? During a quiet phase, buyers and sellers agree on value, so price can move only a little before it meets an order on the other side. Positions build up on both sides and so do their stop-losses, packed into a narrower band. When price finally escapes, it does so through a crowd of stops all clustered close together — which is why quiet periods so often end with a fast move.



Wide early swings shrink into a tight band, and the Bollinger Bands pinch to their narrowest point on the chart. The squeeze ends with a full-bodied candle through the top of the box and a rapid expansion. The squeeze told you energy was stored; the breakout candle told you which way it was released.

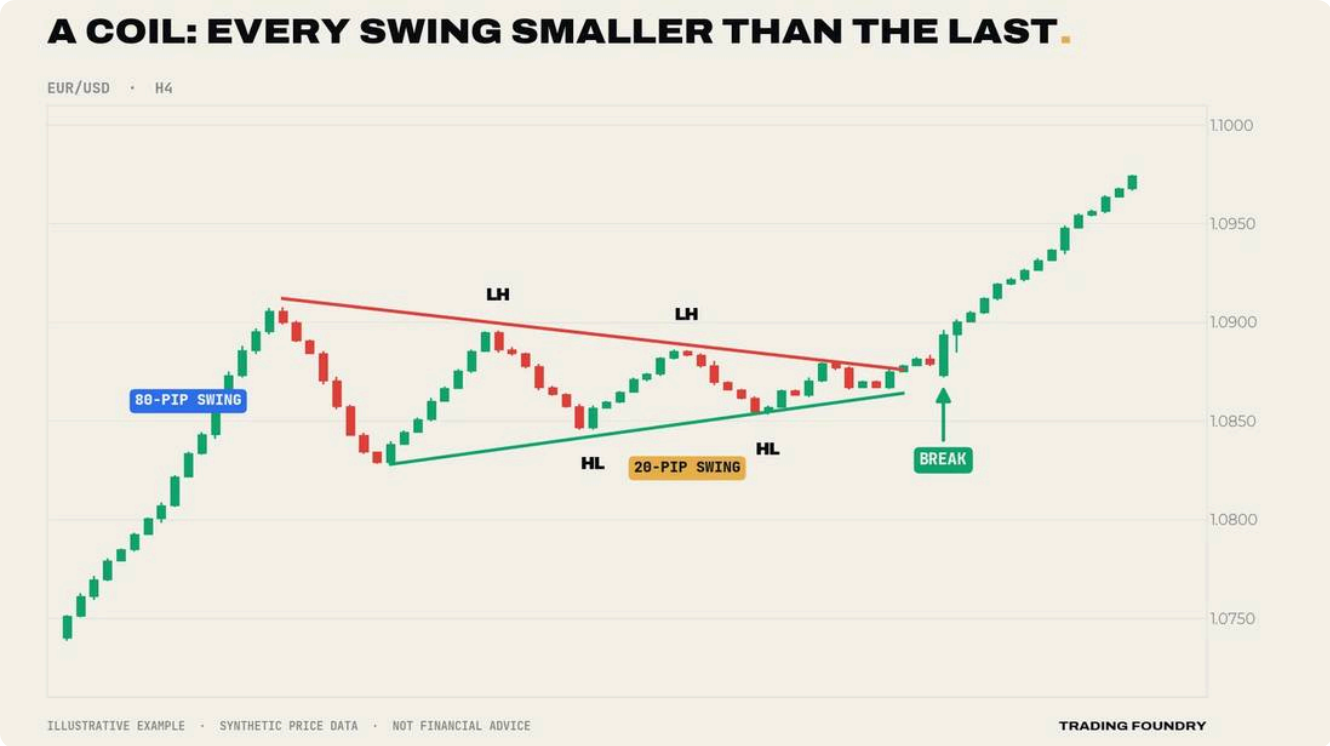
Three ways to see a squeeze

You do not need an indicator to see compression, but you do need to look for it deliberately. Three measures, from simplest to most precise:

1. Candle size. Compare the last ten candles with the twenty before them. In a squeeze, bodies and wicks shrink visibly. If you need to squint to decide whether candles are smaller, they probably are not.

2. Swing size. Measure each swing inside the consolidation — high to low, low to high. In a coil, each swing is shorter than the one before. Lower highs and higher lows, or a flat side with the other side closing in.

3. Band width. Bollinger Bands (20-period, 2 standard deviations) widen when volatility rises and narrow when it falls. When the bands are at their narrowest for the last 50–100 bars, you have an objective squeeze. Average True Range (ATR) does a similar job as a single number.



Lower highs and higher lows squeeze each swing into less space than the one before — 80 pips, then 66, 50, 40, 28 and finally 20. Positions and their stops are packed into an ever-narrower band until the market runs out of room and a full-bodied candle closes through the upper line.

KEY POINT

A squeeze tells you *that* a move is coming and roughly *when*. It does not tell you *which way*. Direction comes from the break itself — and from the lean of the structure and the higher-timeframe trend.

What makes a consolidation tradeable

Not every sideways period is a coil. Your filter should be strict, because the quality of the consolidation is one of the strongest predictors of the quality of the break. A tradeable consolidation has four features:

Defined boundaries. At least two clean touches on each side, so you know exactly what a break would mean. Three on the side you plan to trade through is better.

Meaningful duration. Long enough, relative to your timeframe, for positions to build. On an H1 chart, think a day or more of sideways price — roughly 20 bars or longer — not ninety minutes of lunchtime drift.

Contraction. Swings shrinking, candles shrinking, or price pressing repeatedly against one side. A consolidation where volatility is *rising* is not loading energy; it is spending it.

Context. A pause inside a trend is a continuation candidate. A consolidation that formed after a long trend, at a major higher-timeframe level, may be a turning point instead. Neither is wrong, but they are different trades.

The lean: which side is losing patience?

Compression often has a shape, and the shape tells you which side is losing the argument. When lows rise into a flat ceiling, buyers are stepping in earlier and higher each time while sellers merely defend a fixed price. Each test of the ceiling eats a little more of the resting supply. That is a bullish lean. The mirror image — lower highs pressing into a flat floor — is a bearish lean.

A lean is a tilt, not a promise. It raises your standard for a break in the opposite direction and lowers your resistance to taking one in the same direction. Lesson 8 covers these shapes properly as triangles.

When sideways is just noise

Here is what most sideways price actually looks like, and why you should leave it alone.



The same width throughout, overlapping candles, and wicks poking through both 'boundaries' every few hours. Nothing is coiling, so nothing is being stored. Any 'break' of a range like this is just the next swing of the noise. Labelling a chart untradeable is a skill, not a failure.

The chart has no consistent boundaries, swings are not shrinking, and spikes pierce both sides every few hours. Breaks from structures like this are much more likely to fail, because there is no crowd neatly positioned at a clear level and no stored energy behind the move. Every "breakout" is just the next swing.

COMMON MISTAKE

Drawing a range around any sideways price and treating every exit from it as a breakout. If the boundaries keep moving, the range does not exist.

The squeeze does not tell you the direction

The final piece is humility about direction. A squeeze inside an uptrend is *more likely* to resolve upward, but it does not have to. When it breaks against the trend, believe the break that happened, not the one you expected.



Gold was in an uptrend, then squeezed into a tight band above the 50 EMA — the textbook set-up for an upside break. Instead, a full-bodied candle closed through the floor of the squeeze and expansion followed to the downside. The squeeze was right about timing and silent about direction.

Notice too that the downside break did not come out of nowhere. The squeeze had sat above the 50 EMA for a long time without making progress, and the floor of the box was the obvious place for longs to have their stops. When it went, those stops became sellers. The same mechanics from Lesson 1 apply in either direction.

This is why the plan is never "buy the squeeze". The plan is "the squeeze is loading; mark both boundaries; wait for a candle to close through one of them; then judge that break on its own merits". You may decide in advance that you will only trade upside breaks in an uptrend — a perfectly sensible filter — but you must still respect a downside break as information: the uptrend thesis has just been damaged.

Going deeper

Making the squeeze objective. For systematic testing you need a rule, not an impression. Two common definitions, both of which you should test rather than trust:

- *Bandwidth percentile:* Bollinger bandwidth = (upper band − lower band) ÷ middle band. Flag a squeeze when the current bandwidth is in the lowest 10–20% of its last 100–120 readings.

- *ATR ratio:* compare a short ATR (say 10 bars) with a long ATR (say 50 bars). A ratio below roughly 0.6–0.7 marks a quiet regime. These thresholds are starting points for your own testing, not magic numbers.

The head fake. A well-known squeeze behaviour is the initial move out of the bands that quickly reverses and is followed by the real expansion in the opposite direction. It is the false break of Lesson 7 viewed through volatility: the first push collects the stops on one side, then the market goes the other way. This is one of the strongest arguments for the retest entry — a head fake rarely offers a clean, holding retest.

Nested compression. The most powerful squeezes often appear on two timeframes at once: a daily inside bar or narrow-range day, inside which the H1 chart shows a tight range. When the H1 range breaks, it is also breaking the daily structure, and both groups of traders are acting at once. Check the timeframe above yours whenever you find a good coil.

Squeeze length and decay. Compression does not store energy for ever. A consolidation that drags on far longer than normal for that market often leaks its energy: participants lose interest, stops get moved and the eventual break is a dribble. Long is good; endless is not. In triangles this shows up as the apex deadline, covered in Lesson 8.

Session effects. Many FX squeezes are simply the Asian session. The overnight range on EUR/USD or GBP/USD is often tight because the main participants are not yet active; it is not compression in the energy-storing sense. Breaks of the Asian range at the London open are a separate, well-known setup with its own failure patterns — treat them as such rather than as evidence of a multi-day coil.

THE RULES

- Do not trade inside a squeeze. The trade is the resolution, not the coil.
- Require at least two touches on each boundary and visible contraction before calling it a consolidation.
- A squeeze gives timing, not direction. Wait for a candle to close through one side.
- If the swings are not shrinking and the boundaries keep moving, it is noise — skip it.

Summary

- Volatility contracts and expands in cycles; quiet phases pack positions and stops into a narrow band.
- Measure compression three ways: shrinking candles, shrinking swings, and narrowing Bollinger bandwidth or ATR.
- A tradeable consolidation has defined boundaries, enough duration, contraction and clear context.
- Shape gives a lean (rising lows into a flat top is bullish), but a squeeze never guarantees direction.
- Sideways noise with moving boundaries is not a coil and produces unreliable breaks.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What does a volatility squeeze tell you most reliably?

   A. The direction of the next move

   B. That a larger move is becoming more likely, not which way

   C. The exact target of the breakout

   D. That the trend will continue

2. On an H1 chart, which consolidation best meets this course's definition of tradeable?

   A. 90 minutes of sideways drift at lunchtime

   B. Two days with 3 touches at the top, 2 at the bottom, and shrinking swings

   C. A week of wide swings with spikes through both sides

   D. One touch of resistance followed by a dip

3. In 'A coil: every swing smaller than the last', what made the structure a coil?

   A. The candles were all green

   B. Lower highs and higher lows squeezed each swing into less space

   C. Price stayed above a moving average

   D. The range was exactly 50 pips wide

4. Lows keep rising into a flat ceiling. What does that suggest?

   A. Sellers are getting more aggressive

   B. A bullish lean: buyers are stepping in earlier while sellers defend a fixed price

   C. A guaranteed upside break

   D. The range is about to widen

5. What is a 'head fake' in squeeze trading?

   A. A breakout candle with no wick

   B. A first move out of the squeeze that reverses, followed by expansion the other way

   C. A squeeze that lasts more than a week

   D. A retest that holds perfectly

6. Why might the Asian session range on EUR/USD not count as a true multi-day squeeze?

   A. Asian ranges are always too wide

   B. The quiet is often just low participation, not stored energy from a multi-day contest

   C. Asian session breaks never work

   D. Bollinger Bands do not work at night

Identifying the Level That Matters.

MODULE 1 — WHY BREAKS FAIL, AND WHERE THEY START · LESSON 3

Build a clean level map in minutes, pick out the one level whose break is worth trading, and treat it as a zone rather than a laser line.

You can draw a horizontal line anywhere on a chart and price will eventually cross it. That does not make it a breakout. Before you think about candles, entries or stops, you need to answer one question: **is this a level the market actually cares about, or a line I drew because I wanted a trade?**

A breakout only travels if other people's orders are waiting beyond the level — stops, breakout entries, latecomers piling in. That only happens at levels the crowd can see. This lesson gives you a quick, repeatable way to find those levels and ignore the rest.

Three qualities of a level worth trading

1. It is obvious. This sounds backwards — surely the edge is in seeing what others miss? Not for breakouts. A breakout needs the crowd. If you needed a custom indicator and a squint to find a level, nobody's stops are there and nothing will happen when it breaks. Use the five-second test: show the chart to another trader and they should mark the same line within five seconds.

2. It is tested. A boundary that has rejected price three or four times means more than one touched once. Each rejection proves real orders defended it — and each one adds another batch of positions, and their stops, around it. More touches, more fuel when it finally gives way.

3. It is recent and relevant to your timeframe. If you trade the H1 chart, your working levels are the last few days to few weeks of structure: the current range, yesterday's high and low, this week's high and low, and recent swing points. Mark the big higher-timeframe levels too, because they explain why price sometimes stops dead in apparently open space — but trade the structure your timeframe respects.

Too many lines

Most traders' charts fail the first quality because they carry too many lines.



Nine lines, roughly one every 9 pips. Every candle now touches something, so no line can tell you anything. When everything is a level, nothing is — and you will find a reason to trade every wiggle.

On this chart every candle touches something, so the lines carry no information. Worse, they give you a ready-made excuse for any trade you feel like taking. Five or six lines per pair, across all timeframes, is usually plenty.



Strip the clutter and the chart speaks: a flat ceiling rejected five times, and lows rising steadily into it. One level matters here — the ceiling — and the rising lows tell you which side is under pressure. That is the level whose break you would plan around.

Now the same price action carries a story: a ceiling rejected five times, lows rising into it. There is one level worth planning around, and you already know what a break of it would mean.

KEY POINT

The level that matters is the one the crowd can see, that has been defended repeatedly, and that sits on your timeframe's recent structure. Usually there is only one per chart.

Levels are zones, not laser lines

Forex prices differ slightly between brokers. Wicks overshoot. Orders cluster around a level rather than on a single pip. If you draw a level as a one-pip line, you will see "breaks" every time a wick pokes through by three pips, and you will miss genuine retests that dip a few pips into the area.



Four tests of support. A one-pip line at the dashed level would have been 'broken' twice by wicks that closed straight back above it. Drawn as a zone that covers the wicks and the closes, the level held every time. Judge breaks against the zone, and only on a close.

Draw the zone so it covers the cluster of closes and most of the wicks at the level. When you later ask "has this level broken?", the question becomes: has a candle *closed* clearly beyond the whole zone? That single habit removes a large share of false signals.

COMMON MISTAKE

Demanding pip-perfect precision. A wick three pips through a level is not a breakout, and a retest that dips three pips into the zone is not a failure.

Read how price arrived at the level

A level's history matters as much as its touch count. Ask three questions of any candidate level.

How did price leave it last time? A level that produced a sharp, fast rejection — big candles away from it — shows strong orders were waiting. A level price drifted away from lazily says less. The sharper the past reactions, the more stops are likely clustered beyond it, and the more violent the break when those orders are finally exhausted.

Has it switched sides before? A level that acted as resistance last month and support last week has been noticed by two different groups of traders. Levels with this kind of two-sided history tend to be watched closely, and they are often the levels where the retest — the subject of Lesson 6 — behaves best.

How is price approaching it now? Price grinding into a level with smaller and smaller pullbacks is pressure building against it. Price arriving in one vertical candle from the middle of nowhere has built nothing; it is as likely to bounce as to break. The approach is the first clue to the outcome, and you will grade it formally in Lesson 4.

These questions take seconds per level, and they do something useful for your psychology: they replace "will it break?" — which nobody can answer — with "what would a break here mean, and who would be caught by it?", which you can.

A two-minute level routine

Run this before each session, top down, so it becomes a checklist rather than an art project.

1. **Daily chart.** Mark the major swing highs and lows of roughly the last three months, and any multi-day consolidation. These are context levels — the walls of the building.
2. **H4 chart.** Where has price stalled repeatedly this week? Mark only levels with two or more clear reactions.
3. **Your execution timeframe (H1).** Mark the current range if there is one, yesterday's high and low, and this week's high and low.
4. **Choose.** Identify the one level whose break you would actually trade — the obvious, tested, recent one — and note the next higher-timeframe level beyond it. The distance between the two is your room to run.
5. **Delete.** Remove any line price has spent a full session trading far beyond. Stale levels are clutter.

By way of illustration only: suppose GBP/USD has spent three days between 1.2620 and 1.2680, with three rejections at the top and two at the bottom, inside a daily uptrend, and the next daily resistance sits at 1.2790. The ceiling at 1.2680 is obvious, tested and recent; the daily trend leans upward; and there are 110 pips of room above it. You have not predicted anything. You have prepared.

The routine also protects you from the most expensive habit in breakout trading: discovering the level *after* the candle has broken it. A trader who spots a big green candle, scrolls left, and only then finds the level it broke is reacting, not planning. Everything about that trade — the entry, the stop, the target — is improvised under adrenaline. A trader who marked the level before the session already knows what a break would look like,

where the stop would go and where the next wall sits. The break becomes a box to tick rather than a decision to make.

Practice drill



Trade or no trade? An H1 uptrend pauses beneath a ceiling rejected four times, with rising lows and the next daily resistance about 80 pips above. Decide whether this is a level worth planning a breakout around — and what you would need to see next — before you reveal.

THE REVEAL



THE ANSWER

Worth planning — but not yet a trade. The ceiling is obvious, tested four times and recent; lows are rising into it; the trend leans up; and there are about 80 pips of room to the daily level. That makes it a high-quality level. The trade only begins when a candle closes clearly above the zone (bar 63 did), and the cleaner entry came on the retest at bar 70, which dipped into the old ceiling and closed back above it. Stop below the retest low, target before the daily level.

Going deeper

Which levels attract the most orders. In FX, a handful of reference levels draw disproportionate attention because so many participants use them: the previous day's high and low, the previous week's high and low, the Asian session range, recent swing extremes and round numbers such as 1.0900 or 150.00. A range boundary that coincides with one of these (a "stacked" level) tends to carry more resting orders. Note the stacking on your map.

Recency versus significance. There is a tension between a fresh H1 level and an old daily one. A practical rule: the higher-timeframe level wins on *direction and targets*, and the execution-timeframe level wins on *timing and entry*. You buy the H1 break; you take profit before the daily wall.

Touch counting has diminishing returns. Two touches define a level; three confirm it; a fifth or sixth touch often means the defending orders are being worn away. Repeated tests can make a break *more* likely, not less — which is one reason flat-topped structures with rising lows lean towards an upside resolution.

Measuring room to run in risk units. Before any breakout trade, estimate where your stop would sit and divide the distance to the next real level by that stop distance. If a 20-pip stop faces a daily level 25 pips away,

the trade offers barely 1R before it hits a wall. Many traders set a minimum of 2R of clear space as a filter. Treat that figure as a starting point for your own testing, not a law.

THE RULES

- Trade breaks only of levels that pass the five-second test and have at least two clear reactions.
- Draw every level as a zone covering the cluster of closes and most of the wicks.
- A break means a close clearly beyond the whole zone, not a wick through a line.
- Note the next higher-timeframe level before every trade; skip breaks with less than about 2R of room.
- Keep the map lean: five or six lines per pair, refreshed before each session.

Summary

- A breakout needs the crowd's orders beyond the level, so the level must be obvious, tested and recent.
- Too many lines destroy information; one level usually matters per chart.
- Levels are zones a few pips deep; judge breaks on closes beyond the whole zone.
- A top-down routine (daily, H4, H1, choose, delete) builds the map in minutes.
- Always know the next higher-timeframe level beyond the break: it defines your room to run.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Why should a breakout level be obvious rather than hidden?

   A. Brokers only fill orders at obvious levels

   B. A breakout needs other traders' stops and entries beyond the level to carry it

   C. Obvious levels never fail

   D. Hidden levels are not allowed by most platforms

2. In 'A level is an area a few pips deep', why did the zone matter?

   A. It made the chart look tidier

   B. Wicks pierced the one-pip line, but no candle closed beyond the zone, so the level held

   C. It showed the level was broken four times

   D. It replaced the need for a stop-loss

3. You trade H1. Which pair of levels best follows the course's division of labour?

   A. Use the H1 level for targets and the daily level for entries

   B. Use the H1 level for entry timing and the daily level for direction and targets

   C. Ignore daily levels completely

   D. Only trade daily levels on the H1 chart

4. Your stop would be 20 pips and the next daily resistance is 25 pips beyond the breakout. What should you conclude?

   A. Excellent trade: very close target

   B. Barely 1.25R of room — the break runs straight into a wall; likely skip

   C. Widen the stop to 40 pips

   D. Ignore the daily level

5. In the drill chart, why was the ceiling high-quality but not yet a trade?

   A. It had only one touch

   B. A level only becomes a trade after a candle closes clearly beyond it — and ideally retests

   C. The daily level was too far away

   D. H1 ceilings cannot be traded

Breakout Candle Quality.

MODULE 2 — THE BREAK AND THE ENTRY · LESSON 4

Grade any breakout candle A, B or C from its close, body, size, wick and follow-through, and refuse the breaks that fail the grade.

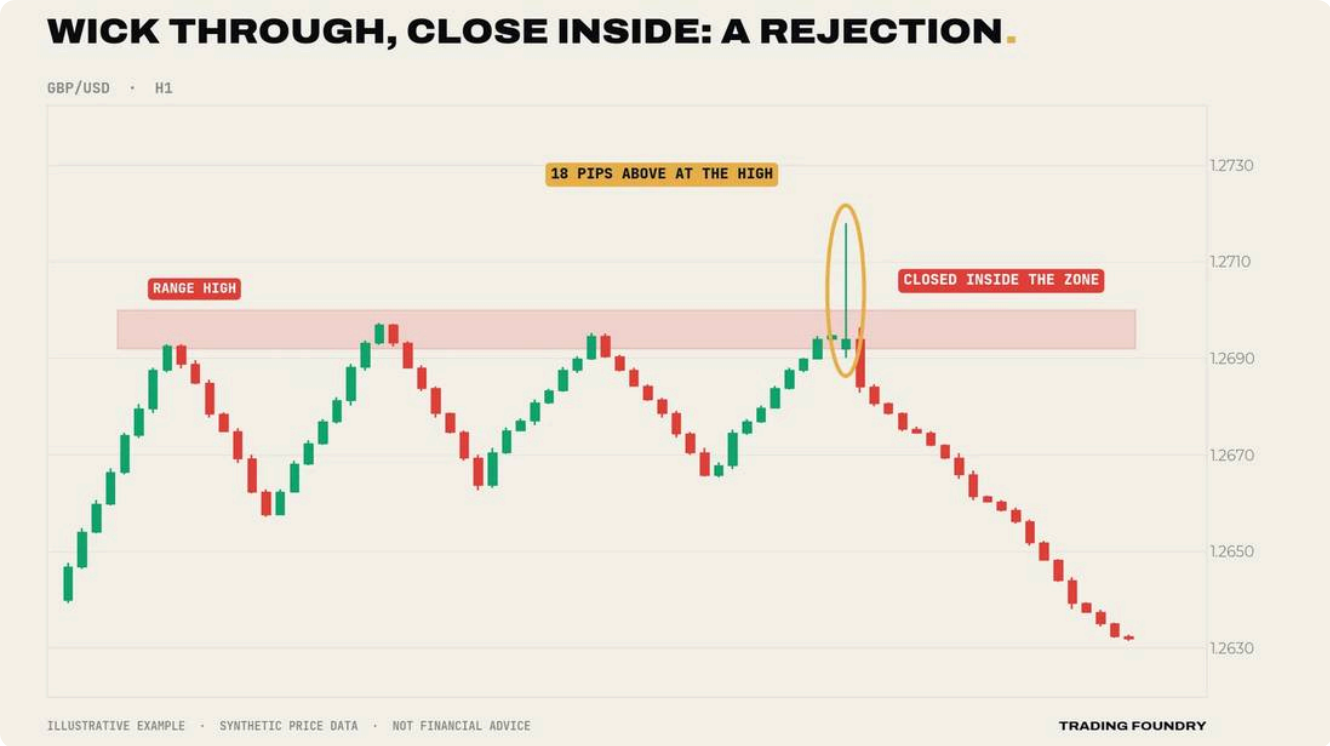
You have found a level that matters and a consolidation that is genuinely coiled. Now price reaches the level and a candle pushes through. This is the moment most breakout traders make their worst decisions, because it is the moment of maximum adrenaline and minimum information.

The breakout candle carries more information than most traders read from it. Its close, its body, its size and its wicks tell you a good deal about who is pushing and how hard. The candles that follow tell you even more. This lesson turns that information into a simple grade — A, B or C — so the candle becomes data against a checklist instead of a starting gun.

The close is the vote that counts

Before anything else: **a breakout is judged on the candle's close, on your chosen timeframe.** Not on a tick through the level, not on the high of a candle that is still forming. Price can trade 20 pips beyond a level in the middle of an hour and close back inside it by the end. That candle did not break the level. It tested the orders above it and was rejected.

Waiting for the close costs you the first few pips of the genuine breaks. In exchange it removes a large share of the false ones — the wick-only "breaks" that are really rejections. On balance that is a trade worth making, and it is the first rule of this course.



During the hour, this candle traded 18 pips above the range high and would have triggered every buy-stop order sitting there. By the close it had given it all back, finishing inside the zone with a long upper wick. That is a rejection wearing a breakout's coat. A trader who waited for the close never bought it.

The upper wick on that candle is a record of failure. Buyers pushed price through the level, the orders above it were filled, and sellers absorbed the lot and drove price back down before the hour ended. Anyone who bought on a stop order above the level was underwater before the candle had even closed.

KEY POINT

A wick beyond a level is a question. Only the close is an answer.

Five things to read in the breakout candle

1. Where it closed. Clearly beyond the whole level zone, not a pip or two through it. A close just inside the far edge of the zone is not a break; it is still a test.

2. Body size relative to its range. A strong breakout candle is mostly body. As a working guide, look for a body that is at least about 60% of the candle's total high-to-low range, with the close in the outer quarter of the candle — near the high for an upside break. That says buyers were in control from open to close, not just at one moment.

3. Size relative to recent candles. The candle should be noticeably larger than the candles inside the consolidation — roughly one and a half to two and a half times the recent average range is healthy. A breakout candle the same size as everything else shows no change in participation. A candle four or five times the average is a different problem, covered below.

4. The wick against the break. A long upper wick on an upside break means sellers were already pushing back before the close. A small one means they were not.

5. The approach. Was the break built — rising lows pressing into the level, pullbacks getting shallower — or launched in one vertical candle from the middle of the range? Built breaks have a crowd behind them. Launched ones often do not.

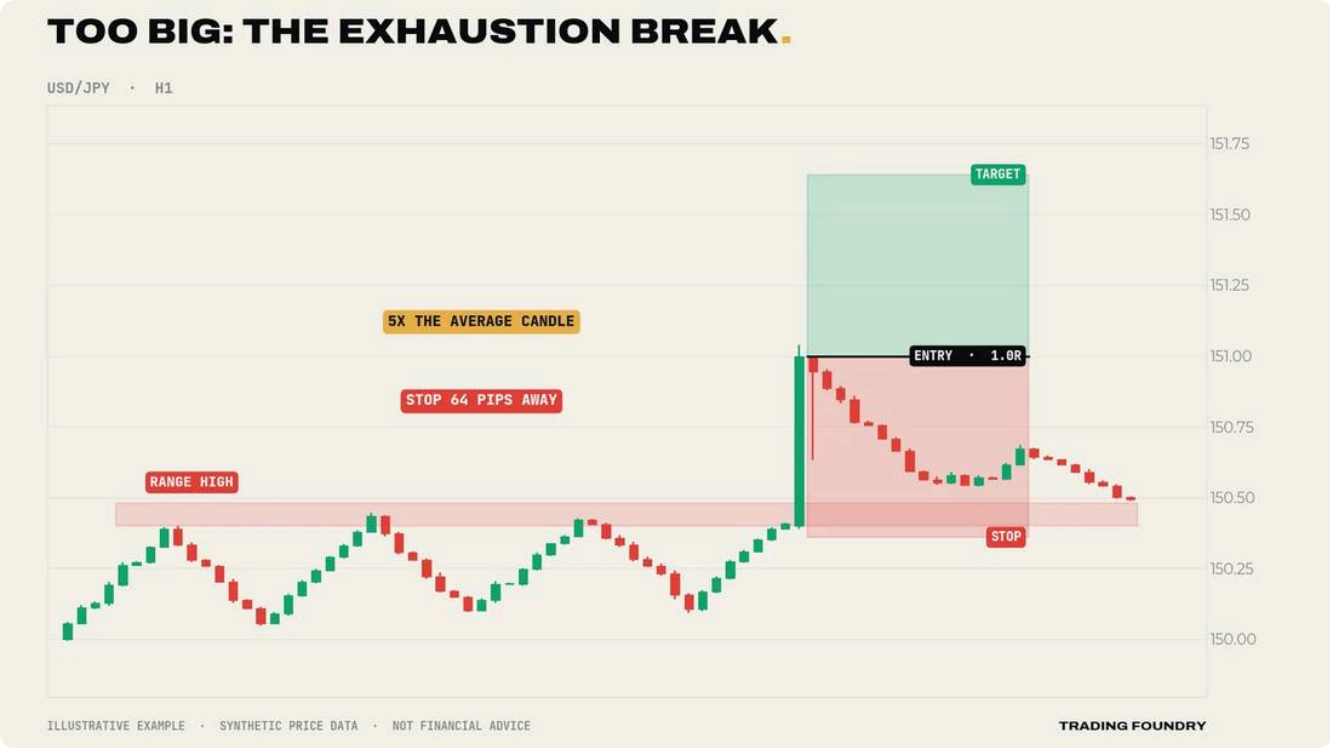


Every box ticked. Lows rose into the ceiling for two days. The breakout candle was roughly twice the size of the consolidation candles, almost all body, and closed 17 pips clear of the zone with barely an upper wick. The next candles held above the old resistance. Grade A — and still no guarantee, only better odds.

The candle that is too big

It seems logical that the bigger the breakout candle, the better. Up to a point it is. Beyond that point, size becomes a liability.

A candle four or five times the average range, closing far beyond the level, has three problems. First, it may be an exhaustion move: everyone who wanted to buy has bought in that one candle, leaving nobody for the follow-through. Second, it often prompts a deep retracement, because the market has travelled too far too fast. Third, and most practically, it wrecks your trade maths. If you buy at the close of a 60-pip candle and your logical stop sits back below the broken level, your stop is 60 pips wide. The same target that offered 3R from a sensible entry now offers 1R.



A 60-pip candle — five times the size of anything inside the range — closed far above resistance. Buying its close put the logical stop 64 pips away, back below the level. Price then gave back most of the move as the burst exhausted itself. Huge candles invite you to chase at the worst price; the retest, if it comes, is the place to act.

The answer to an oversized break is not to buy the close with a tight, arbitrary stop. That stop would sit in the middle of the candle, in the noise, and a normal retracement would take it out. The answer is either to skip, or to wait for the retest at the broken level — the subject of the next two lessons.

COMMON MISTAKE

Placing a tight stop under the close of a huge breakout candle to make the risk "fit". The stop is now in no-man's-land, and an ordinary pullback will hit it on the way to the retest.

Follow-through: the next one to three candles

The breakout candle is only half the evidence. The candles that follow ratify or veto it. After a genuine break, the market should show **acceptance**: price stays beyond the level, perhaps pauses or drifts, but does not slice back through. After a weak break, it sits there looking embarrassed: small candles, no progress, momentum leaking away.

Use a simple traffic-light rule for the one to three candles after the break:

- **Green:** continuation, or a small pause that holds beyond the zone. The break is accepted.
- **Yellow:** two or three candles of nothing, drifting back towards the zone. Downgrade the break; no new entries on momentum.
- **Red:** a close back inside the range. The break has failed. Exit any position at once.



The break closed above the zone, but only by 8 pips and on a modest body — a C-grade candle. Then four small candles went nowhere: the yellow card. The fifth closed back inside the range: the red card. Breaks that do not get moving tend to be abandoned, and the abandoning traders' exits push price the other way.

Putting it together: the A, B, C grade

Grade every breakout in writing, before you know the outcome.

- **A grade:** decisive close clearly beyond the zone; body mostly body, close near the extreme; size about 1.5–2.5x the recent average; small wick against the break; a built approach; trend-aligned; room to run. Candidate for the momentum entry *or* the retest.
- **B grade:** close beyond the zone and a reasonable body, but one lesser ingredient missing — an ordinary approach, a slightly oversized candle, or a modest wick. Retest entry only.
- **C grade:** marginal close, small body, a large wick against the break, a launched approach, or an oversized exhaustion candle. No momentum entry. Many traders skip C-grade breaks entirely; at most, demand an exceptionally clean retest.

Not graded at all: a wick through the level with a close inside. That is not a breakout.

Going deeper

Measure, do not eyeball. For testing, make the grade mechanical. Define body ratio as $|\text{close} - \text{open}| \div (\text{high} - \text{low})$. Define relative size as the candle's range ÷ the average range of the previous 20 candles. Define clearance as the distance of the close beyond the zone edge, measured in ATR or in pips. Record these three numbers for every break in your journal alongside the outcome. After a hundred examples you will know which

thresholds actually separate the breaks that hold from the ones that fail in your market, rather than relying on this lesson's starting points.

Timeframe of the close. A break that closes beyond the level on the H1 but is still a long-wicked candle on the H4 is weaker than it looks. If you trade H1 breaks of an H4 level, glance at the forming H4 candle. Conversely, waiting for an H4 close on an H1 setup usually costs too much: the retest has often come and gone.

Gaps and spikes. Around the weekly open and major data releases, prices can jump through a level with almost no trading in between. A "break" that happens in a gap has not been tested by orders at the level at all. Treat it as unconfirmed until price has traded and closed beyond the level in normal conditions. Lesson 9 covers news-driven breaks.

Body ratio can mislead on small candles. A tiny candle can be all body and still say nothing. That is why size relative to recent candles sits alongside the body ratio. You want both: a large candle that is mostly body.

Volume. Spot FX has no central volume, and broker tick volume is only a rough proxy for activity. If your platform shows tick volume, a breakout candle on clearly elevated tick volume is mildly supportive evidence. Do not build rules around it without testing, and never treat it as more important than the close and the follow-through.

THE RULES

- Judge every break on a closed candle of your execution timeframe. No close beyond the zone, no break.
- Grade the candle A, B or C in writing before you know the outcome.
- No momentum entries on B or C grades; C grades need an exceptional retest or are skipped.
- Never place an arbitrary tight stop inside a huge breakout candle to make the risk fit.
- A close back inside the range after the break is an immediate exit.

Summary

- The close on your timeframe is the vote that counts; a wick beyond the level is a rejection.
- Read five things: close location, body ratio, size versus recent candles, opposing wick and the approach.
- Oversized candles can be exhaustion and ruin your stop placement; prefer the retest or skip.
- The next one to three candles ratify or veto the break: green, yellow or red.
- Grade A, B or C before the outcome is known, and let the grade decide which entries are allowed.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A candle trades 18 pips above resistance mid-hour and closes 2 pips below the zone. What is it?
   A. An A-grade breakout
   B. A rejection: the close is inside, so it is not a break
   C. A B-grade breakout
   D. A retest
2. Which candle best fits an A-grade upside break?
   A. A 5x-average candle closing 60 pips above the level
   B. A candle about 2x average size, ~85% body, closing well clear of the zone with a small upper wick
   C. A small doji closing 1 pip above the zone
   D. A candle with a long upper wick closing just above the level
3. Why is a very large breakout candle a practical problem even if it keeps going?
   A. Brokers reject orders after big candles
   B. The logical stop back below the level is far away, shrinking the reward-to-risk
   C. It always produces a double top
   D. It cannot be retested
4. In 'No follow-through', what was the 'yellow card'?
   A. The breakout candle itself
   B. Four small candles going nowhere above the level
   C. The close back inside the range
   D. The range high zone
5. A break grades B: good close and body, but it was launched from mid-range in one candle. Which entry does the course allow?
   A. Momentum entry at full size
   B. Retest entry only
   C. No entry ever
   D. Buy the next candle's open with a tight stop
6. Why is broker tick volume only weak evidence in spot FX?
   A. It is always zero
   B. There is no central exchange volume, so tick volume is just a rough activity proxy
   C. It only works on gold

D. It is illegal to use

The Retest Entry vs the Momentum Entry.

MODULE 2 — THE BREAK AND THE ENTRY · LESSON 5

Compare the two ways to enter a breakout on price, stop, risk-reward and trap exposure, and choose between them from written conditions rather than mood.

Watch two competent traders handle the same breakout and you will see two different jobs. The **momentum trader** enters as the level breaks — on the close of the breakout candle — accepting a worse price and more traps in exchange for never missing a runner. The **retest trader** lets the break go, sets an alert at the broken level, and acts only if price comes back to it and holds.

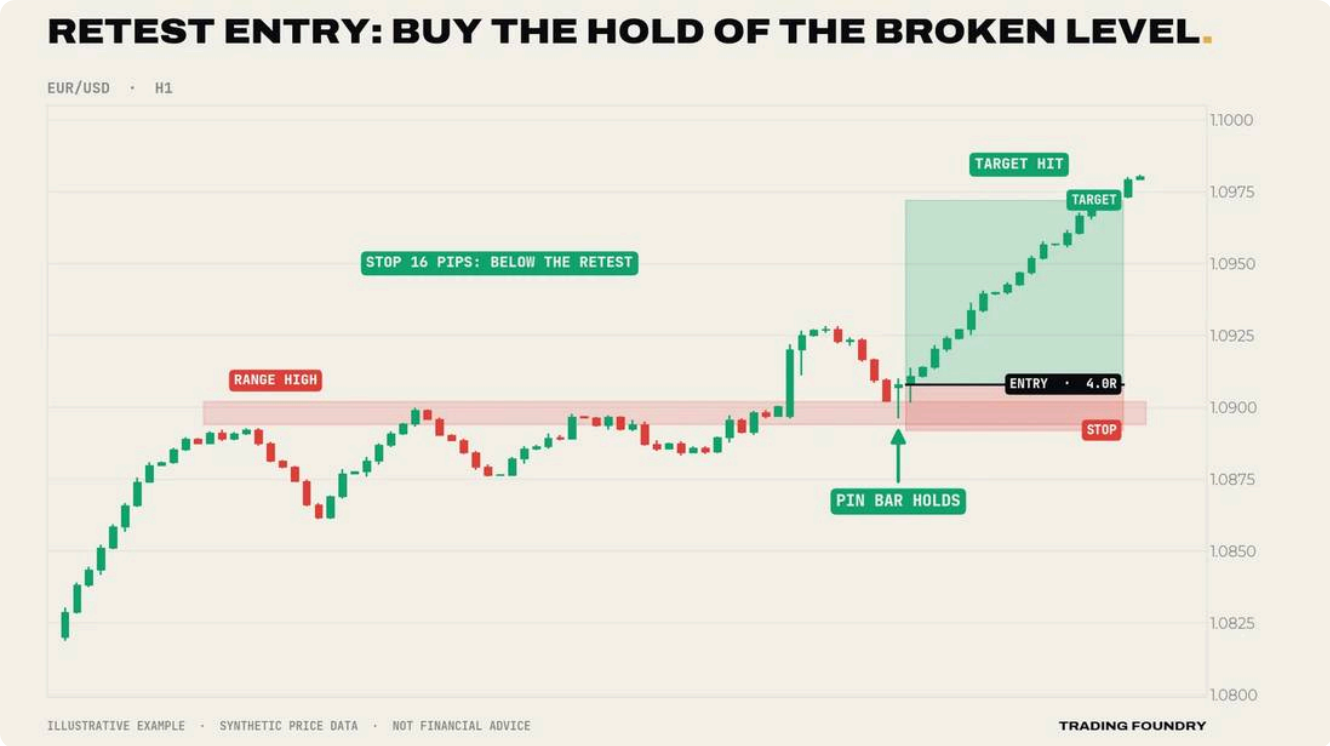
Both approaches are legitimate. Both can be tested. They simply distribute pain differently, and choosing between them is really choosing which kind of pain you handle best. This lesson sets out the trade-off honestly, shows where each entry fails, and gives you a way to choose that does not depend on how your last trade went.

Same break, two entries

The cleanest way to see the difference is on one chart. Here is a single breakout, entered two ways, with the same target.



The momentum trader buys the close of the breakout candle at 70 and places the stop where the idea is clearly wrong — below the last higher low inside the range, 36 pips away. The same target offers about 1.4R, and the trader had to sit through a 16-pip drawdown during the retest. A win, but an expensive one to hold.



The retest trader waited. Price returned to the old ceiling, printed a pin bar whose wick dipped into the zone, and closed back above it. Entry at 58 with the stop below the pin's low and the zone gives a 16-pip risk — and the same target now offers about 4R. Same market, same idea, a far better price for the uncertainty.

The numbers are illustrative, but the shape of the comparison is general. The retest entry offers a better price, a tighter stop that sits at a logical place, and one extra layer of confirmation: the broken level has been tested and has held. In this example, the reward available per unit of risk roughly tripled.

What the retest costs you

If that were the whole story, nobody would ever take a momentum entry. Here is the rest of it: **sometimes the retest never comes.** And the breaks that do not retest are not a random sample. They are disproportionately the most urgent, most powerful moves — the ones driven by real, persistent demand.



An A-grade break out of a coil, in trend, during a busy session — and price never returned within 28 pips of the broken level. The retest trader's alert never fired. Missing this trade cost nothing in money, but it is a real cost of the method: the most urgent breaks are the least likely to retest.

That is the honest trade. Waiting for the retest costs you **participation**. In exchange you get **price, a logical tight stop, a confirmation filter, and a calmer decision**. A retest entry is a decision made while price is quiet at a level you chose in advance. A momentum entry is a decision made while a large candle is printing and every instinct says "go". Over hundreds of trades, the state you make decisions in is itself part of your edge.

What the momentum entry costs you

The momentum entry's failure mode is the trap from Lesson 1, taken at the worst price.



The momentum trader bought the breakout close. Three candles later a full-bodied red candle sliced back through the level — no pause, no rejection wick, no hold. The retest trader saw a level that failed its test and never entered. The momentum trader took a full loss, at the worst price on the chart.

Look at how the retest filter worked here. A genuine retest is a *controlled* return to the level that holds. This was a violent candle straight through it. The retest trader had nothing to buy. The momentum trader was already in.

The momentum entry also has a stop problem. The logical invalidation point is back inside the range, often 30–50 pips from a breakout-close entry on H1. Traders who do not like that distance tend to use a tight, arbitrary stop instead — and arbitrary stops placed inside the noise are how momentum traders die of a thousand small cuts.

KEY POINT

The retest trades participation for confirmation. The momentum entry trades confirmation for participation. Neither is free; choose which cost you will pay, in advance.

Choose by conditions, not mood

The wrong way to choose is by recent memory: chasing breaks after watching one leave without you, then swearing off them after the next trap. That is the market managing you. The right way is to let written, observable conditions select the entry.

Momentum entries earn their place when urgency is likely: - An A-grade breakout candle (Lesson 4). - A break in the direction of a clear higher-timeframe trend. - A long, tight coil resolving — the tighter the spring, the less likely a polite pullback. - An active session (London or New York) with real participation.

Retest entries earn their place when scepticism is warranted: - B-grade candles, or any doubt about the grade. - Counter-trend breaks. - Breaks from loose or short consolidations. - Quiet or transitional sessions. - A level that has already produced one failed break.

For intermediate traders, this course takes a clear view: **the retest is the default, and the momentum entry is the earned exception.** Not because momentum entries are wrong, but because their failure mode — a run of chased breaks that instantly reverse — is expensive in the currency intermediate traders are shortest of: discipline. Missed trades cost pride. Trapped trades cost money and confidence.

Here is how that sounds as a written rule, by way of illustration: *"EUR/USD and GBP/USD H1, trend-continuation breaks of a coil lasting 20+ bars, during London or New York: momentum tranche on an A-grade close plus retest tranche. Counter-trend breaks, B or C grades, and anything after 16:00 UK time: retest only. A level that has already failed once this week: retest only, with a confirmation candle."* It takes two minutes to write and it removes the most expensive decision in breakout trading from the moment you are least able to make it.

Notice that the rule is about the *setup*, not about the trader's feelings. It does not say "momentum when confident". Confidence is not observable and it is at its highest straight after a winning streak — precisely when traders get careless.

The hybrid: splitting the position

Many experienced breakout traders refuse the either/or and split the risk.



Half the planned risk goes on at the A-grade breakout close with a structural stop; the other half waits for the retest with a tighter stop. If price had run without retesting, half the position would have been aboard. If the break had failed, only half the risk would have been on the worst fill. Here both halves filled.

As an illustration of the mechanics: a trader planning to risk 1% of the account on a setup might risk 0.5% on the confirmed break (wider stop, back inside the structure) and hold the other 0.5% for the retest (tighter stop). Because each half has a different stop distance, each half has its own position size; the risk in money is what is split, not the lot size. If the market runs without retesting, half is aboard. If the break fails outright, only half the risk was taken at the worst price.

The hybrid does not beat both pure approaches in every scenario — nothing does. Its value is psychological: it removes the agony of the all-or-nothing choice at the moment of the break, which is exactly when your judgement is worst.

COMMON MISTAKE

Deciding the entry style in the moment. In the moment, you will always choose whatever soothes the last loss. Write the rule per setup type before the session.

Going deeper

Thinking in expectancy, not win rate. The two entries produce different trade populations, so compare them on expectancy, not on how often they win. A purely hypothetical example: suppose a momentum approach takes 100 qualifying breaks, wins 45 at an average of 1.5R and loses 55 at 1R — expectancy (0.45 × 1.5) − 0.55 = +0.125R per trade, +12.5R in total. Suppose a retest approach on the same 100 breaks gets filled on only 55, wins 28 of them at an average of 3R and loses 27 at 1R — expectancy per trade (28 × 3 − 27) ÷ 55 ≈ +1.04R, about +57R in total. These numbers are invented to show the method. Your own tests may show something quite different, especially in strongly trending markets where the missed runners matter more.

The selection bias in missed trades. When you backtest the retest approach, the trades it misses are not random — they skew towards the strongest moves. A backtest that only measures filled trades will flatter the retest approach slightly in "average winner" terms and hide what it gave up. Always log the missed breaks and what they did, so you can see the opportunity cost.

Limit orders versus confirmation at the retest. Some retest traders place a limit order at the broken level and let price fill them. That captures more retests, including shallow ones, but it also fills you on the retests that fail. Others wait for a confirmation candle at the level — a pin bar, an engulfing, or simply a close back in the breakout direction. The confirmation approach gives up some fills and some price in exchange for fewer failed retests. The next lesson treats this in detail; test both.

Time stops on the retest. A retest that comes within roughly 3–15 candles of the break belongs to the same breakout. One that arrives two days later is a different market revisiting an old level. Many traders cancel the retest alert after a fixed number of candles or at the end of the session.

THE RULES

- Decide the entry style per setup type in writing before the session, never in the moment.
- Default to the retest entry. Momentum entries only on A-grade, trend-aligned breaks in an active session.
- Momentum stops go where the idea dies (back inside the structure), never at an arbitrary tight distance.
- In the hybrid, split the money at risk, not the lot size; size each half to its own stop.
- No hold at the retest, no retest entry.

Summary

- Momentum entries buy participation at the cost of price, stop distance and trap exposure.
- Retest entries buy price, a logical stop and confirmation at the cost of missed runners — usually the strongest ones.
- Choose by observable conditions: A-grade, trend-aligned, active-session breaks can justify momentum; everything else defaults to the retest.
- The hybrid splits the money at risk between the break and the retest and softens the all-or-nothing decision.
- Compare approaches on expectancy, and log the trades the retest approach misses.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In the two 'same break' charts, why did the retest entry offer roughly three times the reward-to-risk?
   A. It used a bigger target
   B. Its entry was closer to a logical stop, so risk per trade was far smaller for the same target
   C. It used a bigger position
   D. It ignored the stop
2. What is the main, unavoidable cost of the retest approach?
   A. Wider stops
   B. Missing breaks that never return — often the strongest ones
   C. More false breakouts
   D. Higher spreads
3. In 'Where the momentum entry dies', why did the retest trader avoid the loss?
   A. They used a smaller position
   B. Price sliced back through the level instead of holding it, so there was no valid retest to buy
   C. They entered short at the break
   D. They used a wider stop
4. Which conditions most justify a momentum entry under this course's rules?
   A. A B-grade counter-trend break in the late Asian session
   B. An A-grade break out of a tight coil, with the higher-timeframe trend, during London
   C. Any break after three losing trades
   D. A break of a level that already failed once
5. A trader running the hybrid plans 1% total risk. Half 1 has a 40-pip stop, half 2 a 15-pip stop. How should the positions be sized?
   A. Same lot size for both halves
   B. Each half risks 0.5% of the account, so half 2 uses a larger lot size than half 1
   C. Half 1 risks 1%, half 2 risks 0%
   D. Both use the 40-pip stop
6. Why should you log breaks the retest approach missed when backtesting?
   A. To increase the win rate
   B. Because missed breaks skew towards the strongest moves, and ignoring them hides the method's opportunity cost

C. Because brokers require it

D. To calculate spread costs

Role Reversal at the Retest.

MODULE 2 — THE BREAK AND THE ENTRY · LESSON 6

Read whether a broken level has genuinely changed sides, and enter the retest only when the pullback, the reaction at the zone and the timing all agree.

After a genuine breakout, price very often does something that feels wrong to newer traders: it comes back. Having broken through resistance, the market pauses, rolls over and returns to the level it has just broken. The beginner sees failure. The experienced breakout trader sees the entry the whole strategy has been waiting for.

That return is the **retest**, and what you are looking for during it is **role reversal**: broken resistance behaving as support, or broken support behaving as resistance. When the level holds in its new role, you have confirmation that the break was real, an entry right next to a logical stop, and a clear line that tells you quickly if you are wrong. When it does not hold, you have avoided a failed breakout for the price of a missed entry.

This lesson teaches you to read that moment: why levels flip, what a healthy retest looks like, what a failing one looks like, and the exact evidence to demand before you enter.

Why a broken level changes sides

Levels have no magic. They flip because human decisions cluster around them. Three groups of traders do most of the work.

Trapped traders. Some traders sold the old resistance and did not exit when it broke. They are now underwater. When price returns to their entry, many close at breakeven with relief — and closing a short means buying. Their buying arrives exactly at the old level.

Latecomers. Traders who believed in the break but missed it, or refused to chase, now get a second chance at a better price. Their bids cluster at the level they watched break.

Adders. Larger participants who drove the break rarely fill everything in one push. A pullback to the broken level is a natural place to add.

None of this requires the level to be special in itself. It requires only that enough people saw it — which is why Lesson 3's obvious, tested levels produce the best retests.



The same zone rejected price three times from below, broke on a full-bodied candle, and then held twice from above. Each retest dipped into the zone, produced a rejection wick, and closed back above it. The level did not change; the people around it changed their behaviour.

What a healthy retest looks like

Judge every retest on three things, in this order.

1. The character of the pullback. You want a correction, not a collapse. A healthy pullback to the broken level drifts back on smaller candles, overlapping and mixed in colour, reluctant. It looks like profit-taking, not like sellers taking control. A pullback made of large, consecutive candles slamming back towards the level is a market that may be about to reject the break entirely.

2. Behaviour at the level. This is where the trade is decided, so demand evidence rather than assuming the level will hold. The classic signs: - A **rejection wick** into the zone with a close back outside it in the breakout direction — the pin bar. - An **engulfing candle** at the zone in the breakout direction. - At minimum, a candle that **closes** back away from the zone in the breakout direction after touching it.

Remember the level is a zone. Price may dip a few pips into it — even briefly through the far side of it — sweep the tightest stops, and hold. Judge the close, not the wick.

3. Time. Retests are freshest within a handful of candles of the break — as a working guide, roughly 3 to 15 candles on your execution timeframe. A "retest" two days later, after the chart has built new structure, is a different market revisiting an old level. It may be tradeable, but not on this playbook's terms.



After the break, price drifted back on small, mixed candles over about ten bars — a correction, not a collapse. At the old ceiling, a bullish engulfing candle swallowed the previous red candle and closed back above the zone. Entry at its close, stop below its low and the zone plus spread, target just over 2R away.

KEY POINT

A retest is not a touch of the level. It is a touch of the level *followed by evidence that the level is holding in its new role* — and the evidence is a close.

The short side: broken support becomes resistance

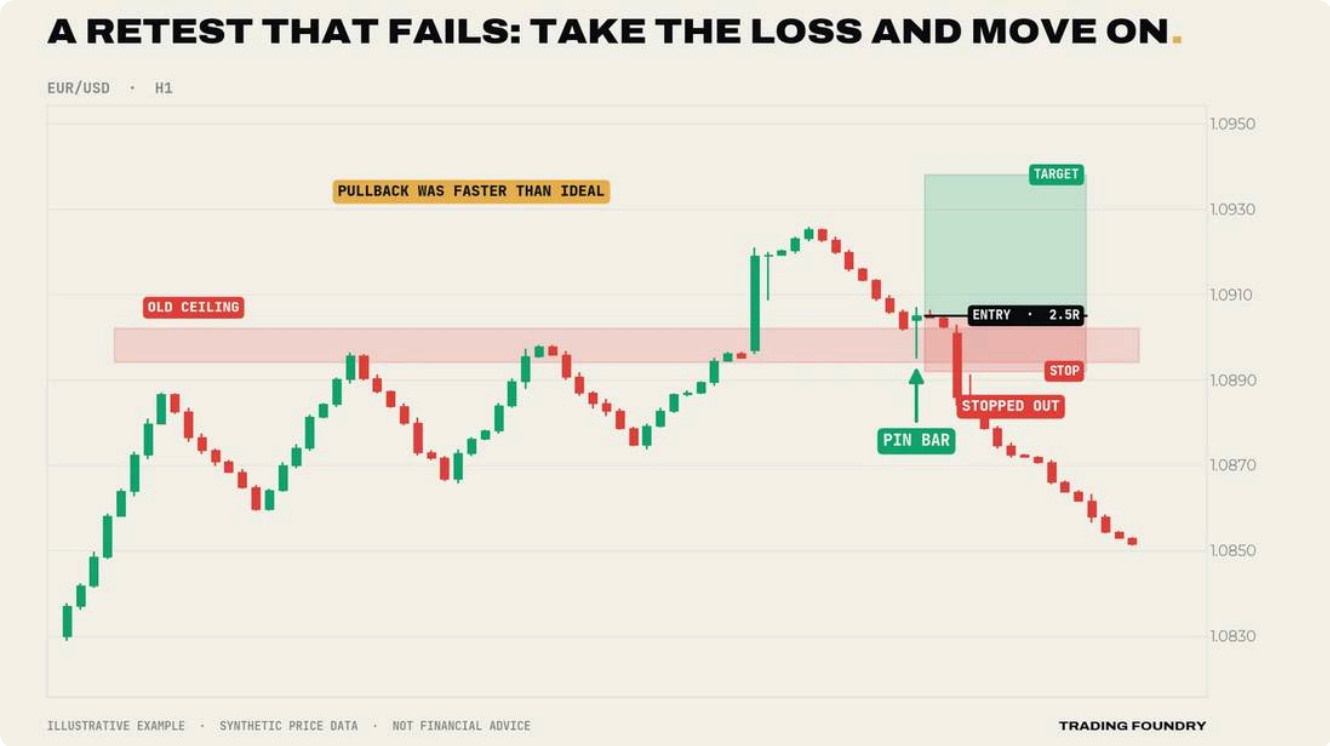
Everything works in mirror image. When support breaks, a healthy retest drifts back up to the underside of the old floor and is rejected there.



The floor broke on a full-bodied red candle. Price then crept back up to the underside of the broken support, where a bearish pin bar wicked into the zone and closed back below it. Short at the close, stop above the wick and the zone, target near 3R. Same logic, mirror image.

When the retest fails

The retest improves the price you pay for uncertainty. It does not remove the uncertainty. Some retests that tick every box still fail, and you need to know what that looks like so you can take the loss without hesitation.



The retest printed a pin bar at the old ceiling and the entry was valid by the rules. Two candles later a full-bodied red candle closed through the whole zone, and the stop went with it: a 1R loss of 13 pips. In hindsight the pullback was quicker than ideal, but nothing here was a rule break. This is what the retest's insurance costs.

Could the failure have been spotted in advance? Partly. The pullback from the breakout high came back on larger candles than the healthy example earlier in this lesson, and it reached the level in fewer bars. That is a yellow flag, not a red one — plenty of retests with a slightly brisk pullback hold perfectly well. The point is not to find a reason after the event; it is to keep the loss at exactly the size you planned.

Notice how small and fast that loss was. The structure told you within three candles, cheaply, that the break had failed. Compare that with the momentum trader in Lesson 5, who lost from the top of the breakout candle. A failed retest is the method working, not failing. Confirmation was never a guarantee — it was a discount on the cost of being wrong.

COMMON MISTAKE

Moving the stop lower when the retest starts to fail, "because the level is a zone". The zone was already inside your stop. Once a candle closes through the whole zone, the role reversal has failed and so has the trade.

The entry, step by step

1. After an A or B-grade break, set an alert at the outer edge of the broken zone.
2. When the alert fires, check the **character** of the pullback: drifting and overlapping, or violent and one-sided? If violent, stand aside.

3. At the zone, wait for a **closed confirmation candle** in the breakout direction: pin bar, engulfing, or a strong close away from the zone.
4. Enter at that candle's close (or on a small limit just inside it).
5. Stop beyond the confirmation candle's extreme **and** beyond the zone, plus a few pips for the spread.
6. Target the next real level (Lesson 9 covers targets).
7. Cancel the idea if no valid retest has formed within about 15 candles, or if any candle closes back through the whole zone.

Practice drill



Trade or no trade? A B-grade break, then price has returned to the old ceiling within eight candles. Look at how it came back before deciding whether this is a retest worth buying.

THE REVEAL



THE ANSWER

No trade. The return was three consecutive full-bodied red candles covering 33 pips in three hours — faster and stronger than anything in the breakout leg. That is a collapse, not a drift, and there was no confirmation candle at the zone. Price closed through the whole zone two candles later and ran to the range low. A retest trader who demands a controlled pullback and a confirming close never entered.

Going deeper

Limit order or confirmation? Two schools exist. The limit-order trader rests a buy order at the outer edge of the zone and is filled on every touch, including shallow retests that never quite reach the middle of the zone and fast ones that never print a signal. The confirmation trader waits for a closed candle and gets fewer, later, slightly worse fills — but skips most of the retests that slice straight through. Neither is objectively better. Test both on the same set of breaks and compare expectancy, not win rate.

Depth of the retest. Retests do not always reach the level. In strong markets price may stop a few pips above the zone — a "shallow" or "near" retest — and never fill a trader waiting at the zone itself. Some traders accept a confirmation candle within a set distance of the zone, for example within about a quarter of the average candle range. Others treat a shallow hold as a reason to take a momentum-style entry with a structural stop. Decide in advance.

Second retests. Occasionally price retests, bounces, and returns to the level a second time. A second hold is often stronger evidence than the first, because sellers have had two chances and failed twice. A third return is a warning: the level is being worn away. Each extra visit uses up more of the buying that defended it.

Retest on a lower timeframe. Some traders identify the break on H1 and read the retest on M15 for a tighter confirmation and stop. This improves the reward-to-risk on paper but introduces more noise and more false signals. If you do it, keep the H1 zone as your invalidation: the M15 signal decides *when* to enter, the H1 zone decides *whether* you are still right.

Role reversal is not guaranteed by touch count. A level rejected five times before it broke has, in theory, more trapped traders to defend its retest. In practice, very heavily tested levels sometimes break with such force that no retest comes at all — the runner case from Lesson 5.

THE RULES

- Enter a retest only after a closed confirmation candle at the zone in the breakout direction.
- No entry if the pullback to the level is faster and stronger than the breakout leg.
- Stop goes beyond the confirmation candle's extreme and beyond the zone, plus spread.
- Any close through the whole zone ends the trade and the idea. Never widen the stop.
- Cancel the retest idea after about 15 candles without a valid signal.

PRE-TRADE CHECKLIST

- ☐ The level was obvious and tested before the break
- ☐ The breakout candle graded A or B
- ☐ The pullback drifted back on smaller, overlapping candles
- ☐ A closed confirmation candle (pin, engulfing or strong close) formed at the zone
- ☐ The retest came within about 15 candles of the break
- ☐ Stop placed beyond the signal candle and the zone, sized to 0.5–1% risk
- ☐ At least 2R of room to the next higher-timeframe level

Summary

- Broken levels flip because trapped traders exit, latecomers enter and larger players add — all at the same obvious price.
- Judge a retest on the pullback's character, the evidence at the zone (a close) and the time since the break.
- Mirror everything for shorts: broken support retested as resistance.
- Failed retests produce small, fast losses; take them without moving the stop.
- A violent return to the level is a failing break, not a retest.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which group helps a broken resistance level act as support on the retest?

   A. Traders who shorted the old resistance closing at breakeven, which means buying

   B. Brokers adjusting spreads

   C. Traders selling new shorts at the level

   D. Central banks defending the level

2. In 'A healthy retest: drift, test, engulf', what was the entry signal?

   A. The first touch of the zone

   B. A bullish engulfing candle at the zone closing back above it

   C. The breakout candle

   D. A break of the range low

3. In the drill, why was the return to the level not a retest to buy?

   A. It came too late

   B. It was three large, consecutive red candles — a collapse, with no confirmation at the zone

   C. The breakout was A-grade

   D. The level had too many touches

4. Your retest long is in place; a candle closes below the whole zone. What does the course say?

   A. Widen the stop because the level is a zone

   B. Exit: the role reversal has failed and the trade idea is dead

   C. Add to the position at a better price

   D. Wait for the next session

5. For a short on a retest of broken support, where does the stop go?

   A. Below the entry

   B. Above the confirmation candle's high and the zone, plus spread

   C. At a fixed 10 pips

   D. At the range high

6. What is the honest cost of the confirmation approach compared with a resting limit order at the zone?

   A. Larger losses on failed retests

   B. Fewer and slightly later fills, missing some shallow or fast retests

   C. It never misses a trade

   D. It requires wider stops always

False Breaks and Reclaims.

MODULE 3 — TRAPS AND STRUCTURES · LESSON 7

Recognise a false break as it happens, exit without negotiation, and — when the conditions qualify — trade the reclaim in the opposite direction.

You will be caught by false breakouts. Everyone who trades this strategy is, regularly, for as long as they trade it. The aim is not to avoid them completely, which is impossible, but to be caught less often, to pay less each time, and — once you understand them well enough — to occasionally be on the right side of one.

That last point is the shift this lesson asks you to make. A false break is not just a failed trade. It is information. When a level breaks and price then **reclaims** it — closes back on the original side — the traders who bought the break are trapped, and their exits are about to push price the other way. A failed breakout is often a better trade than the breakout was.

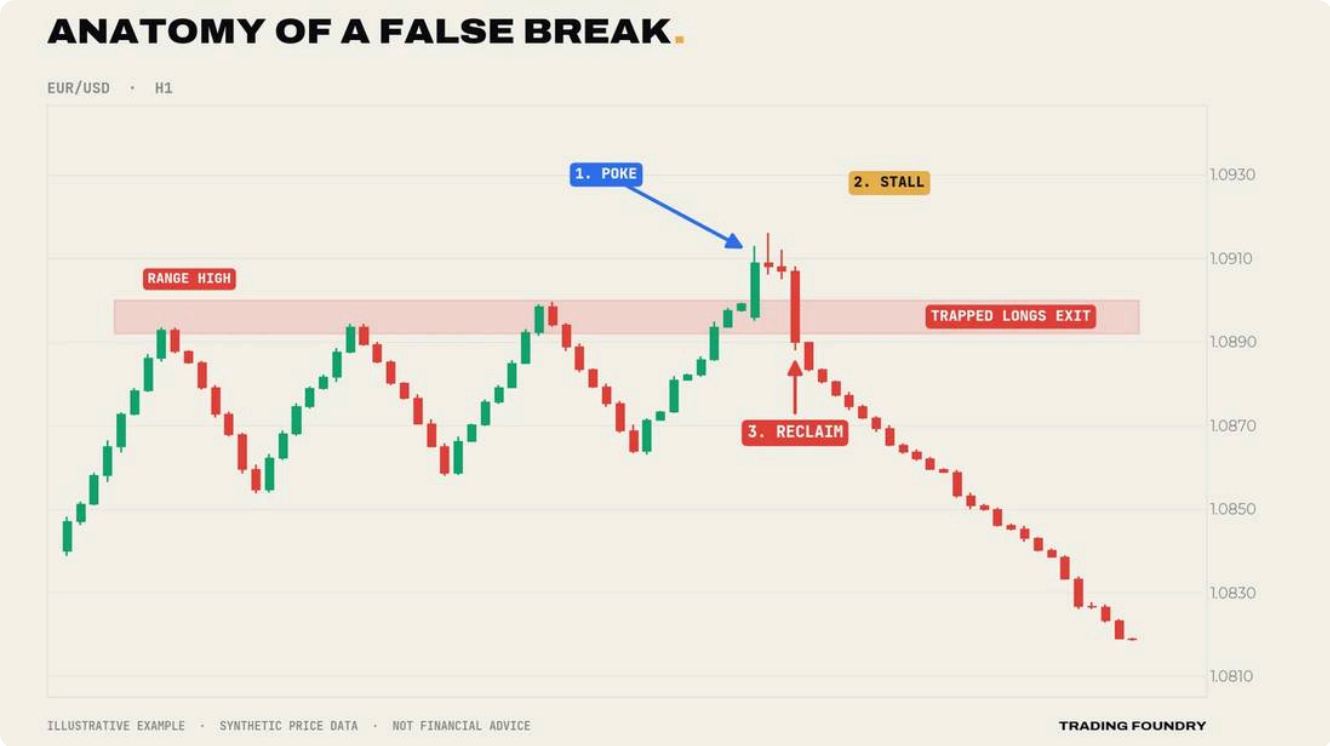
The anatomy of a false break

A false break has three parts. Learn to see each one as it forms.

1. The poke. Price trades beyond an obvious level, triggering stop orders and breakout entries beyond it.

2. The absorption. The burst of buying (for an upside false break) is met by selling that soaks it up. The candle stalls, leaves a long wick beyond the level, or goes nowhere for a few bars.

3. The reclaim. A candle closes back inside the range — on the original side of the level. This is the moment the break is dead. Everyone who bought it is now underwater, and their stops sit inside the range below.



The poke: a candle closes above the range high. The stall: two small candles go nowhere and leave wicks above. The reclaim: a full-bodied red candle closes back inside the range. From that close, every break buyer is underwater, and the move to the range low and beyond is fuelled by their exits.

Fingerprints you can see in real time

Most false breaks are the mirror image of Lesson 4's checklist.

- **The wick without the close.** Price trades through the level but the candle closes back inside. The most common false break, and the one closing-basis confirmation filters out entirely.
- **The close without follow-through.** A candle does close beyond the level, but the next two or three go nowhere. Momentum bleeds away. Yellow card.
- **The re-entry.** A candle closes back inside the range. Red card. The breakout idea is dead.

And the context tells, which you can check *before* the poke happens:

- The break is **against the higher-timeframe trend**.
- A **bigger level** sits just beyond the break.
- The range was **sloppy**, not coiled.
- The session is **thin**: late Asia, the hour after the London close, holiday periods.
- The level has already produced **one failed break** recently, or is being tested for the fifth or sixth time with no compression.

KEY POINT

If you are in a breakout trade and a candle closes back inside the range, you exit. No waiting for the stop, no hoping. The first loss is the cheapest.

There is also a behavioural fingerprint, and it is in you. If you notice that you badly want to buy a breakout candle — that it feels urgent, that it is "leaving without you" — treat that feeling as a mild contrary indicator. False breaks work precisely because they produce that feeling in thousands of traders at once. Urgency is what the pool of breakout orders is made of. A written plan turns the feeling into a question you can answer calmly: has the candle closed, what grade is it, and what is the context?

A note on "liquidity sweeps"

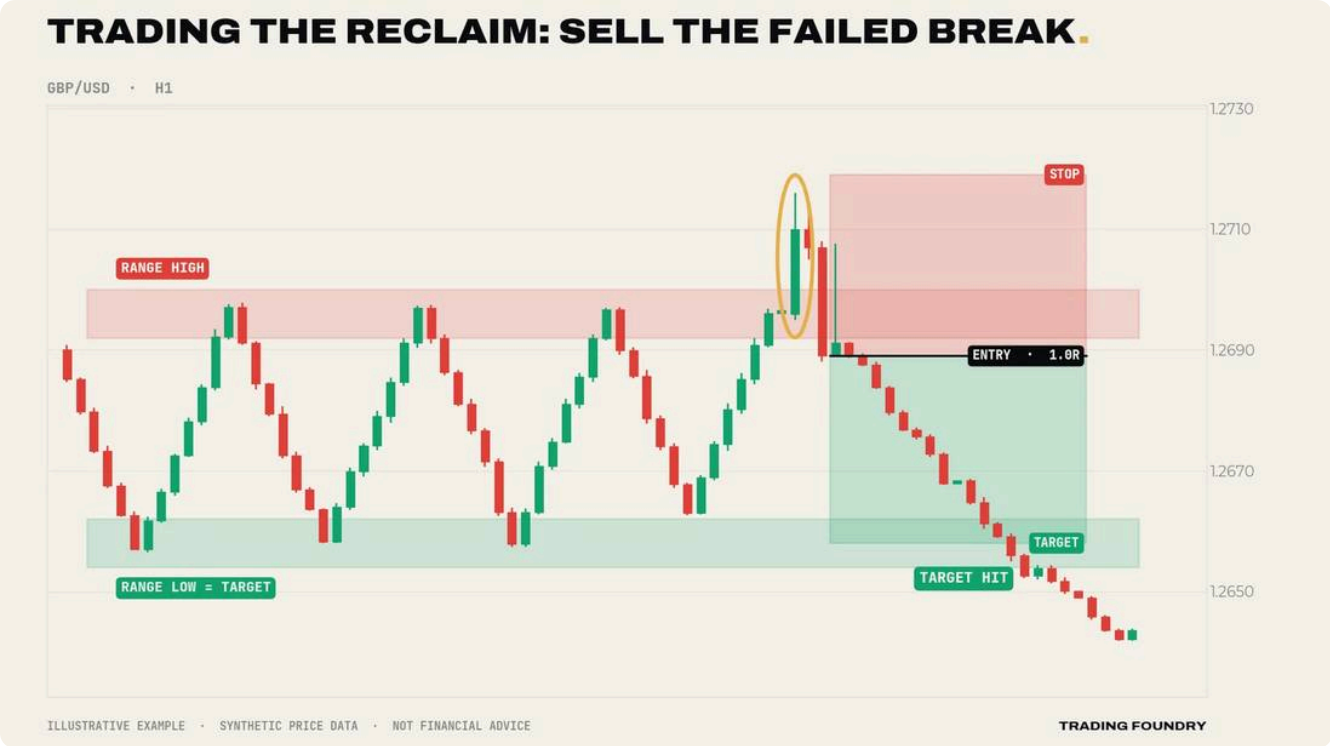
Some frameworks, notably Smart Money Concepts, call this pattern a *liquidity sweep* or *stop hunt* and describe it as institutions deliberately running stops before reversing. Keep two things separate. What the chart **observably shows** is price trading beyond an obvious level, failing to hold, and closing back inside. What the framework **calls** it is a story about intent, which nobody outside those institutions can verify. You do not need the story to trade the pattern. Price first. Framework second.

Trading the reclaim

For some traders the failed break *is* the setup. The logic is straightforward: once price has reclaimed the level, the trapped breakout traders' stops sit inside the range in the direction you want to trade, and the far side of the range is a natural target.

The rules, for an upside false break (sell):

1. **Qualify the context.** A clear range with defined boundaries; ideally the higher-timeframe trend is down or neutral, or a bigger level sits just above the poke.
2. **Wait for the reclaim close.** A candle must close back inside the range, below the zone. Wicks back inside are not enough.
3. **Entry.** At the close of the reclaim candle, or on a small pullback to the underside of the zone.
4. **Stop.** Above the extreme of the false break — the highest wick of the poke — plus a few pips for the spread. That is the point where the false break has become a real one.
5. **Target.** The middle of the range first; the opposite boundary as the main objective.

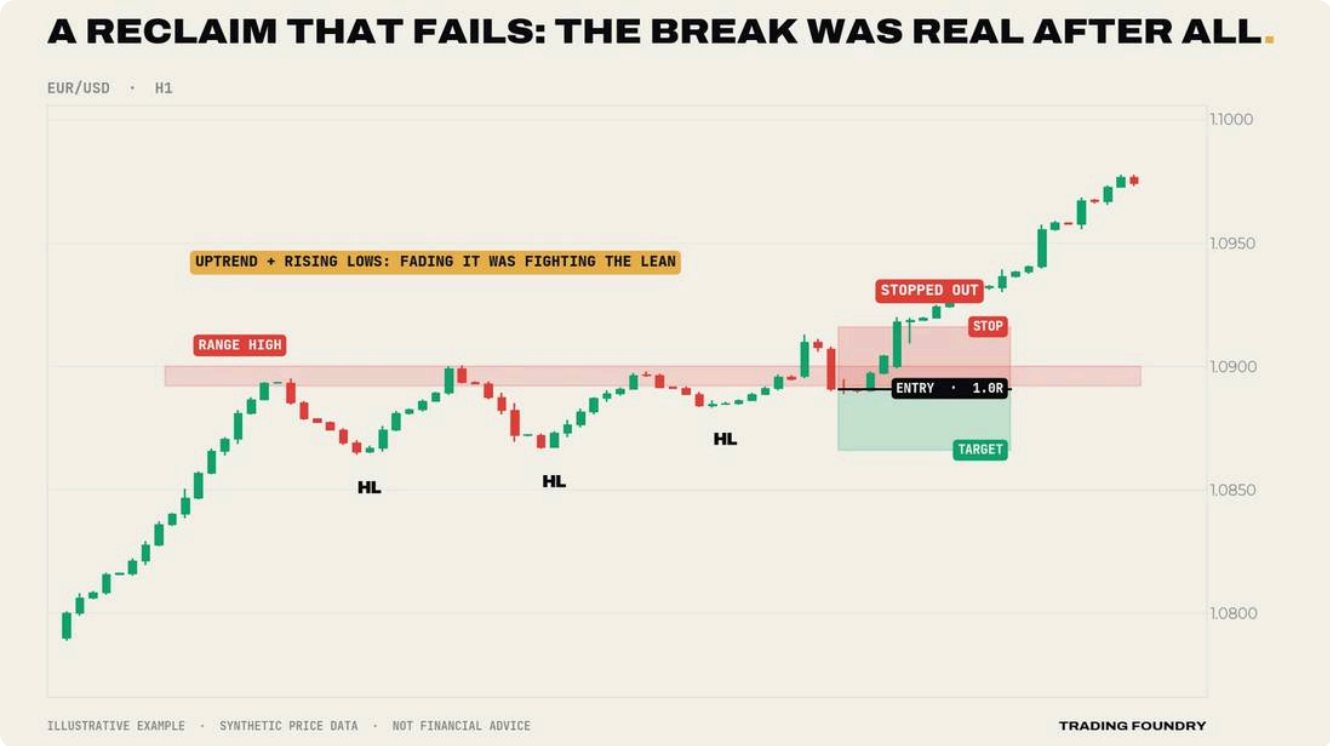


The break closed above the range high, stalled for one candle, and was reclaimed by a full-bodied close back inside. Short at the reclaim close, stop 3 pips above the false break's highest wick, target at the range low: roughly 1R in pips of risk to reward. Modest — the stop has to sit beyond the whole poke.

Notice the honest weakness here: the stop has to sit beyond the whole poke, which is often a long way from the reclaim close. In this example the trade offered only about 1R to the range low. Reclaim trades often look more attractive than they are, because the move afterwards is fast and dramatic. Measure the reward-to-risk before you enter, not after. A pullback entry to the underside of the zone after the reclaim can improve it considerably — at the cost of sometimes missing the move.

When the reclaim fails

Fading a failed break is still a trade against an obvious level that just broke. Sometimes the "false" break turns out to be a pause, and the real breakout resumes.



A poke and a reclaim close — the pattern was there. But the context was wrong: a clear uptrend, lows rising into the ceiling, buyers arriving earlier every time. Two candles after the reclaim, price closed back above the range high and ran. The short was stopped for a full 1R. Fading a coiled, trend-aligned level is the weakest version of this trade.

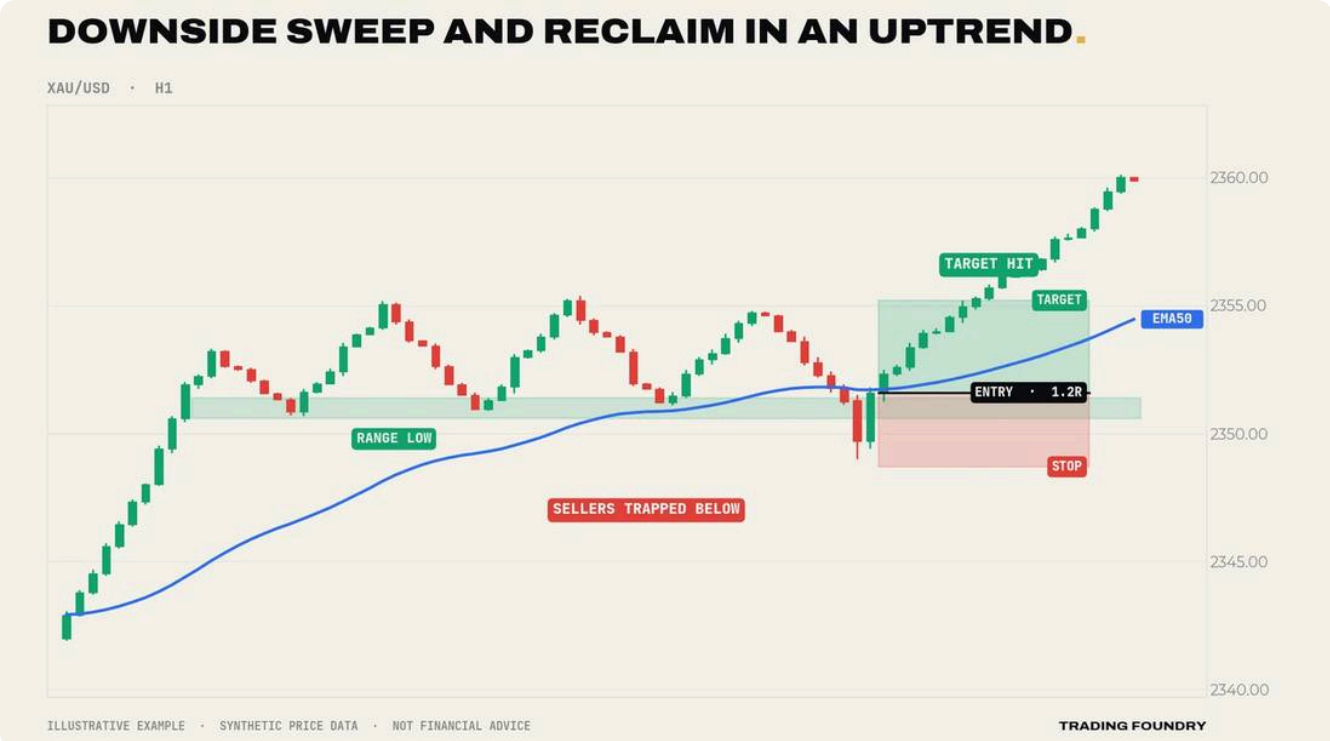
The lesson is context. This "false break" happened in an uptrend, from a range with rising lows — the most bullish structure in Lesson 2. Fading it meant betting against both the trend and the lean. When the reclaim pattern appears in that context, the better response is usually to step aside, or to wait and see whether the breakout re-establishes itself, which would offer a fresh retest entry on the long side.

COMMON MISTAKE

Becoming a reflexive fader after a run of trapped breakouts. Fading every break is just the mirror image of buying every break. The reclaim trade needs the same context filters as the breakout trade.

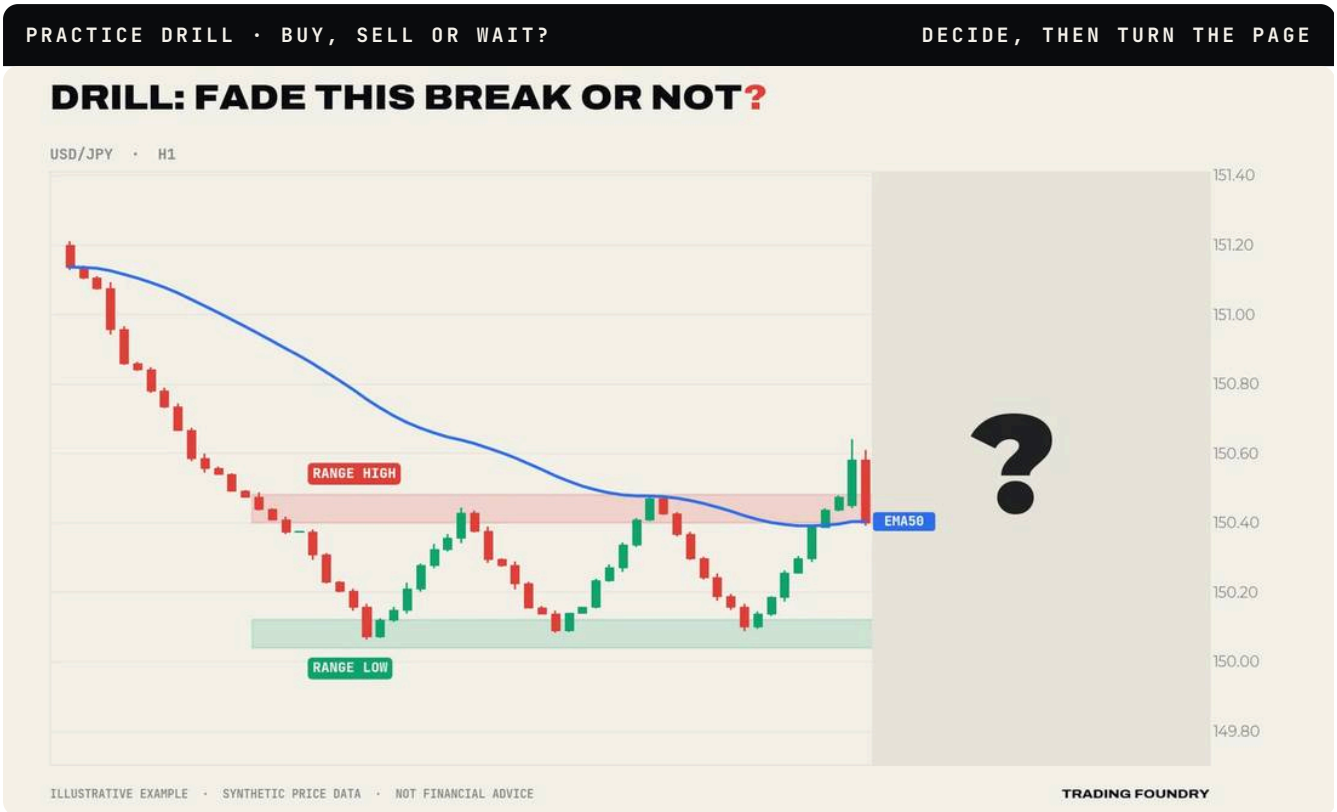
Reclaims from below

The same pattern appears at support. Price breaks below a floor, triggers the sell stops of longs and the entries of breakdown sellers, then closes back above. In an uptrend, this is often one of the cleaner setups on the chart.



Gold, in an uptrend above its 50 EMA, broke below the range low on a red candle and immediately reversed. The next candle closed back above the zone: a reclaim, with trend and structure both on the side of the trade. Long at the reclaim close, stop below the sweep low plus spread, first target at the range high for about 1.2R — with the trend offering more beyond it.

Practice drill



Trade or no trade? USD/JPY fell into this range from above and sits below a falling 50 EMA. A candle closed above the range high, then the next candle closed back inside, at the bottom of the zone. Decide whether the reclaim qualifies as a short before you reveal.

THE REVEAL



THE ANSWER

Trade — the reclaim qualifies. Context: a range inside a downtrend, below a falling 50 EMA, so the upside break was counter-trend. Pattern: one close above, then a full-bodied reclaim close back inside. Short at about 40, stop above the poke high at 64 plus spread (about 26 pips), first target the range mid, main target the range low at about 12 — just over 1R, improving to about 1.5R if you waited for a pullback into the zone. Price reached the range low within twelve candles.

Going deeper

How long a poke can last. Some false breaks reclaim on the next candle; others spend five or six candles beyond the level before collapsing back. The longer price spends beyond the level, the more traders accept the break as real and the more are trapped when it fails — but also the more likely it is that the break really was real. A practical rule: treat any close back inside within about five candles as a reclaim; beyond that, treat it as a new structure.

The second break. After a reclaim, price sometimes breaks the same level again a few hours later and this time holds. Traders who were trapped once often refuse the second break, which can make it unusually clean. This is one reason this course treats "a level that has already failed once" as *retest only*, not *never*.

Reclaims and the opposite boundary. A failed upside break that reclaims the range often runs straight through the range and breaks the *other* side, because trapped longs' stops sit below the range low too. That second break is a legitimate breakout in its own right, but it is usually extended by the time it happens; the retest is the place to act on it.

Measuring your own false-break rate. In your journal, record for every breakout you grade: whether it reclaimed within five candles, the session, the trend alignment and the grade. Within a few months you will know which combinations fail most often in the markets you trade, which is worth more than any general statistic.

THE RULES

- In a breakout trade, any candle close back inside the range is an immediate exit.
- A reclaim requires a candle close back inside; a wick back inside is not enough.
- Fade a failed break only with supporting context: counter-trend break, bigger level overhead, or a sloppy range.
- Never fade a break out of a coiled, trend-aligned structure with rising lows (or falling highs for shorts).
- Reclaim stops go beyond the extreme of the false break plus spread; check the reward-to-risk before entry.

Summary

- A false break has three parts: the poke, the absorption and the reclaim close.
- Most false breaks show fingerprints beforehand: counter-trend, bigger level beyond, sloppy range, thin session.
- Once a candle closes back inside the range, the break is dead — exit any breakout position.
- The reclaim can itself be traded, with the stop beyond the poke and the range's far side as the target.
- Reclaim trades need context; fading a coiled, trend-aligned break is the weakest version.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What exactly confirms a false break, under this course's rules?
   A. A long wick beyond the level
   B. A candle closing back inside the range
   C. A stall of two candles
   D. The price touching the far side of the range
2. Where does the stop go on a reclaim short after an upside false break?
   A. Just above the reclaim candle's close
   B. Above the extreme of the false break plus spread
   C. At the range middle
   D. Below the range low
3. In 'A reclaim that fails', what made the short a weak trade?
   A. The stop was too wide
   B. It faded a break out of an uptrend with rising lows into the ceiling
   C. The reclaim candle was too large
   D. It was traded in London
4. How should you describe a 'liquidity sweep' to keep it observable?
   A. Banks deliberately hunting retail stops
   B. Price traded beyond an obvious level, failed to hold and closed back inside
   C. A secret institutional signal
   D. A guaranteed reversal
5. In the drill, why did the reclaim qualify as a short?
   A. Because all false breaks should be faded
   B. The upside break was counter-trend in a range below a falling 50 EMA, and a full-bodied candle closed back inside
   C. Because the range was sloppy
   D. Because the next candle was green
6. A reclaim trade offers 0.8R to the range low with the stop beyond the poke. What is a sensible response?
   A. Take it with a tighter, arbitrary stop
   B. Skip it, or wait for a pullback into the zone to improve the entry
   C. Double the position size

D. Move the target beyond the range low without reason

Flags and Triangles as Breakout Structures.

MODULE 3 — TRAPS AND STRUCTURES · LESSON 8

Qualify flags, pennants and the three triangles by strict rules, trade their resolution with the break-and-retest method, and recognise when the pattern has expired.

So far the consolidations in this course have been rectangles: a flat ceiling, a flat floor and price bouncing between them. Two other shapes deliver a large share of the cleanest breakouts in any market — **flags** (and their close relative, pennants) and **triangles**. They are not different strategies. They are the same compression-and-release story with a shape that tells you a little more about who is in control.

This lesson gives you strict rules for each, because the most common error with chart patterns is not trading them badly. It is seeing them where they do not exist.

Flags: the pole is the evidence

A flag has two parts, and the first matters more.

The pole is a sharp, impulsive move: large candles, mostly one colour, little overlap. It is the evidence that someone wanted in — or out — urgently. Without a genuine pole there is no flag, however neat the consolidation looks.

The flag is the rest that follows: a short, shallow, tidy drift *against* the pole's direction (a bull flag drifts down or sideways; a bear flag drifts up or sideways). It is early buyers taking profit, absorbed by latecomers glad of any pullback. Volatility drops visibly — small bodies, overlapping candles, boredom.

A **pennant** is the same event with a different rest: instead of a parallel channel, the pause contracts into a small symmetrical triangle. Trade it exactly like a flag.



An eight-candle pole of about 104 pips, then a flag that drifted down in small, overlapping candles and gave back only 28 pips — about a quarter of the pole. A full-bodied close above the flag's upper line triggered entry, with the stop below the flag low. The measured move projects the pole from the break; it is an estimate, not a promise.

Qualifying rules for flags

1. **An impulsive pole.** Grade the pole first. Strong bodies, a clear streak, ideally breaking a prior level on the way. If the pole is a grind, stop reading.
2. **Shallow.** A healthy flag usually holds the upper half of the pole — as a working guide, it retraces no more than about 50%. The deeper it cuts, the weaker the case.
3. **Counter-drift or sideways.** A bull "flag" that keeps rising steeply is not resting; it is just trend, and rising consolidations after a pole often behave like wedges and break the other way.
4. **Brief.** Flags are short relative to their pole — often one to three times the pole's duration. The longer the rest drags on, the more it becomes an ordinary range and the less the pole's urgency still means.
5. **Structure intact.** If the flag breaks the last meaningful higher low (for a bull flag), the label is revoked on the spot.

KEY POINT

No pole, no flag. The pole is the evidence of urgency; the flag is just the pause that lets you join it.

When a "flag" is not a flag

Here is the version that catches traders who skip rule 2.



The pole was real, but the 'flag' drifted for 36 candles and gave back about 60% of it, in candles almost as large as the pole's. A break of its upper line looked like resumption and was bought — then price fell through the flag low. The pattern had already failed rule 2 (shallow) and rule 4 (brief) before the break.

The honest diagnosis here is that the trader graded the break and forgot to grade the pattern. The breakout candle itself was respectable. But a pattern is a chain of evidence, and the chain had already snapped twice before the break arrived: the rest was deep, and it was long. By the time of the break, the pole's urgency was ancient history. A flag that takes longer than its pole and gives back more than half of it is simply a range that started after a rally — and it deserves range rules, not flag rules.

Triangles: three shapes, three stories

A triangle is a consolidation whose boundaries converge. Each type tells a slightly different story about who is losing patience.

Ascending triangle — flat top, rising lows. Sellers are defending a fixed price while buyers step in earlier and higher each time. Each test of the ceiling eats a little more of the resting supply. It leans bullish.

Descending triangle — flat floor, falling highs. The mirror image. Buyers defend a fixed price while sellers press lower highs into it. It leans bearish.

Symmetrical triangle — lower highs and higher lows. Both sides are getting more aggressive and neither has the upper hand. It is the most neutral of the three: usually a continuation of the prior trend, but with the least directional information.

"Lean" is doing careful work in those sentences. Ascending triangles break down and descending triangles break up often enough to keep everyone humble. The lean adjusts how much evidence you demand; it never replaces the break.



Five tests of a flat ceiling, with each pullback finding buyers higher than the last. The break closed well clear of the zone; ten candles later the retest dipped into the old ceiling, printed a pin bar and closed above it. Stop below the pin and the zone. The triangle's 60-pip height projected from the break sat near the target.

Qualifying rules for triangles

1. **At least two touches on each boundary**, and preferably three on at least one. Two lines through two points each is geometry, not evidence.
2. **Genuine convergence.** The swings must be shrinking. If they are not, you have a range or a channel.
3. **A prior move.** A triangle within a trend is a continuation candidate; one after nothing in particular is chop.
4. **Volatility contracting** towards the apex: smaller candles, smaller swings.
5. **For ascending and descending triangles, the flat side is the meaningful boundary.** A break of the sloped side is softer information.

Let the market vote on symmetricals

With a symmetrical triangle, do not predict the direction. Mark both boundaries and trade the break that actually happens — with extra respect when it agrees with the prior trend, and extra suspicion (smaller size, retest only) when it does not.



Gold fell, then coiled in a symmetrical triangle with converging lower highs and higher lows. The break came through the lower line, in the direction of the prior downtrend. Price returned to the underside of the broken line, printed a bearish pin and closed back below it. Short at the close, stop above the pin, target near 3.8R.

The apex is a deadline

Two practical points that textbooks underplay.

First, **breaks from roughly the middle two-thirds to three-quarters of a triangle's length tend to have the most conviction.** A market that drifts all the way into the apex has usually let the tension leak away. What follows is more often a dribble — or a false break in both directions — than a clean expansion. If price reaches the tip with no resolution, downgrade the whole structure.

Second, **triangles are false-break heaven.** Everyone can see the same lines. A brief poke through one boundary that immediately reverses — a "throw-over" — is common. Everything from Lesson 7 applies: demand the close, watch the follow-through, respect a reclaim.

A useful habit is to measure the triangle's length from its first touch to the point where the two lines would meet, and mark the 75% point on the chart in advance. If no decisive close has come by then, you downgrade the structure before the late break tempts you — a decision taken calmly, hours earlier, rather than in the moment.

COMMON MISTAKE

Trading inside a triangle. The inside is a shrinking, whippy no-man's-land where both sides get stopped. The trade is the resolution, not the coil.

Practice drill



Trade or no trade? A symmetrical triangle in a mild uptrend has coiled for 60 candles. The latest candle has just closed above the upper line, very close to where the two lines meet. Decide before you reveal.

THE REVEAL



THE ANSWER

No trade. The break came at the very apex, after the triangle had used up almost all of its length — the tension had leaked away. The candle closed only 6 pips beyond the line, a C-grade break, and the 'line' at the apex is almost the same price as the opposite boundary, so there is no meaningful stop. Price dribbled back and forth through both lines. A late, marginal break from the tip of a triangle is exactly the one to skip.

Going deeper

Measured moves, honestly. The classical objectives are the flag's pole projected from the breakout point, and a triangle's height at its widest projected from the break. They are estimating tools, not forecasts. Their real value is to force a question *before* entry: is there room for a move of this size before the next real level? If the measured move runs straight through a daily level, the level wins. Lesson 9 covers targets in full.

Wedges are not triangles. A rising wedge — both boundaries sloping upward, converging — looks superficially like a bull flag or an ascending triangle, but its usual resolution is downward, because each push higher achieves less. If both lines slope the same way and converge, treat it as a wedge and do not assume continuation.

Pattern stops. For a flag, the stop goes beyond the far side of the flag (below the flag low for a bull flag). For a triangle breakout entry, use the most recent swing inside the triangle rather than the far side of the whole pattern, which is usually too distant to size sensibly. For any retest entry, the retest rules from Lesson 6 apply.

Flags on the higher timeframe. A bull flag on the daily chart often appears as a multi-day range on H1. Recognising the larger pattern gives the H1 range breakout a measured objective and a reason to prefer the upside break.

Failure is information. A bull flag that breaks its low, or an ascending triangle that breaks its flat-side counterpart downward, has told you the buyers' story was wrong. Those failures often produce sharp moves for the reasons in Lesson 7 — trapped pattern traders exiting together.

THE RULES

- No pole, no flag. Grade the pole before the flag.
- A flag deeper than about half the pole, or longer than about three times the pole's duration, is not a flag.
- Triangles need two or more touches on each line and visibly shrinking swings.
- Do not trade inside a triangle; trade the confirmed close beyond a boundary.
- Downgrade or skip breaks that occur at the apex.
- Treat measured moves as estimates; the next real level overrides the arithmetic.

Summary

- Flags and pennants are a pole followed by a shallow, brief, contracting rest; the pole is the evidence.
- Triangles come in three types: ascending (bullish lean), descending (bearish lean) and symmetrical (neutral).
- Trade the resolution with the same tools as any breakout: candle grade, retest, role reversal.
- The apex is a deadline; breaks at the tip are weak and often false.
- Measured moves estimate room to run; the level map has the final say.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What is the single most important feature that qualifies a flag?
   A. A perfectly parallel channel
   B. A genuine impulsive pole before the consolidation
   C. At least ten candles in the flag
   D. A moving average crossover
2. In 'Not a flag', which rules had the pattern already failed before its break?
   A. Pole and structure
   B. Shallow and brief — it gave back ~60% of the pole over 36 candles
   C. Triangle touch count
   D. None — it was a valid flag
3. Which boundary matters most in an ascending triangle?
   A. The rising lower line
   B. The flat top
   C. Both equally
   D. Neither — only the apex
4. How should you treat a symmetrical triangle's direction?
   A. Predict it from the last candle
   B. Let the market vote: trade the break that happens, with more respect for trend-aligned breaks
   C. Always buy it
   D. Always sell it
5. In the apex drill, why was the break a no-trade?
   A. It closed too far beyond the line
   B. It came at the very tip, as a marginal C-grade close with no meaningful stop
   C. The triangle had too few touches
   D. It was in the wrong session
6. A bull flag's measured move projects 120 pips, but a daily resistance sits 70 pips above the break. What should the target be?
   A. 120 pips — the pattern says so
   B. Just before the daily resistance, about 70 pips
   C. Double the measured move

D. No target; hold for ever

Stops, Targets and News-Driven Breaks.

MODULE 4 — MANAGING AND COMPLETING THE TRADE · LESSON 9

Place breakout stops where the idea dies, set targets from the level map and measured moves, manage the winner, and handle breaks caused by scheduled news.

A good entry is worth nothing if the stop sits in the wrong place, and a good stop is wasted if the target asks the market for more than it can give. This lesson finishes the trade: where the stop goes and why, how far the target should be, how to manage a position that is working, and what to do when a level breaks because a data release has just hit the screen.

The stop goes where the idea dies

Every stop question starts in the same place: **at what price is my trade idea provably wrong?** Not "how much am I willing to lose" — that is decided by position size, a separate lever. The breakout idea is that a level has broken and will now hold in its new role. That idea dies when price re-establishes itself on the wrong side of the level.

For a **retest entry**, that gives a tight, logical stop: - beyond the extreme of the confirmation candle (the pin bar's wick, the engulfing candle's low); - beyond the far edge of the broken zone; - plus a buffer for spread and noise — a few pips on majors, more on gold or during wide-spread hours.

For a **momentum entry**, the idea dies back inside the structure: below the last higher low inside the range or flag for a long. That is further away, which is the momentum entry's built-in cost.



The retest dipped to 43 — through the top of the zone — before the engulfing candle closed at 60. A 'tidy' 10-pip stop at 50 would have been taken out on that very dip. The structural stop at 40 sits below the wick, below the zone and 3 pips beyond for spread. Wider in pips, far more likely to survive the noise; position size absorbs the difference.

KEY POINT

Stop distance is decided by structure. Risk is decided by position size. Never move the stop to make the size feel better.

Sizing the position

Once the structural stop is set, the position size follows from your risk per trade. As an illustration: a £10,000 account risking 1% has £100 at risk. With a 20-pip stop on EUR/USD, where a standard lot is worth about $10 per pip (convert to your account currency), the position is roughly £100 ÷ 20 pips = £5 per pip. With a 40-pip stop, the same £100 buys £2.50 per pip. The money at risk is identical; only the size changes. Many traders use 0.5–1% per trade while learning a new setup; the figures here are illustrative, not a recommendation.

Targets: the level map first, the measured move second

A target answers one question: where is the next place the market is likely to stop? Two tools answer it, and they should agree.

The level map. The next real higher-timeframe level beyond the break — a daily swing high, a multi-day range boundary, a weekly level. You marked it in Lesson 3. This is your primary target, because it is where real orders sit.

The measured move. For a range, project the range's height from the breakout point. For a flag, project the pole. For a triangle, project its widest height. These are estimating tools. Their main job is to check that a move of normal size has room to happen before it hits the next wall.

When they disagree, **the level wins**. If the measured move projects 80 pips but a daily level sits 55 pips away, the honest target is just in front of the daily level.



The range was about 80 pips tall, so the measured move projected roughly 80 pips beyond the break, to 128. But a daily resistance level sat at 102. The target went just in front of it at 98 — about 2R from the retest entry, with the stop below the zone — and price stalled at the daily level, never reaching the arithmetic objective.

Minimum reward-to-risk. Before entry, divide the distance to your target by your stop distance. Many traders require at least 2R to the first real level as a filter for this setup. Treat that as a starting point to test, not a law. If the trade cannot offer it, it is not a trade at this level.

Managing the winner

Breakout trades tend to resolve quickly in one direction or the other, which makes management simpler than for most setups. A clear, pre-written plan beats improvisation:

1. **Leave it alone until price has moved about 1R in your favour.** Early stop-tightening is the most common way to turn good breakout trades into scratch trades.
2. **Optional partial.** Some traders take a part (for example, a third to a half) off at 1–1.5R. It reduces variance; it also reduces expectancy if your winners regularly reach the full target. Test both.
3. **Trail behind structure, not by a fixed number of pips.** For a long, move the stop to just below each new confirmed higher low on your execution timeframe.

4. **Exit on a reclaim.** If price ever closes back inside the original range, the breakout idea is dead even if your stop has not been hit.
5. **At the target, take it.** The target was set at a real level for a reason. Hoping for the measured move beyond a daily wall is how winners become breakevens.



After the retest entry, the stop stayed at its structural level until price had moved more than 1R. Then it stepped up beneath each new higher low as it was confirmed — never in the middle of a pullback. The trail let the trend breathe while locking in more of each leg.

News-driven breaks

Scheduled news — central bank decisions, inflation figures, US non-farm payrolls — produces the most dramatic breakouts on the calendar and some of the least reliable ones in the first minutes. Three things change around a release:

- **Spreads widen** and liquidity thins in the seconds around the number, so fills can be far from the price you expected.
- **Price can gap** through a level with almost no trading in between. A break that happened in a gap has not been tested by orders at the level at all.
- **The first move is often reversed.** The initial spike reflects the headline; the following minutes reflect the detail, revisions and positioning. Spikes through a level that reverse within the hour are common.



In the release candle, price spiked 34 pips above the range high and closed just 4 pips above it — a long-wicked candle formed in thin, wide-spread conditions. The next candle fell back into the range. Anyone buying the spike paid the widest spread of the day for a level that had not really been tested.

Rules for news

1. **Know the calendar.** Before each session, note tier-one releases for both currencies in the pair.
2. **No new breakout entries in the minutes before a tier-one release** — as a working rule, from about 15 minutes before until at least the first execution-timeframe candle after it has closed.
3. **An existing position into news is a decision, not an accident.** Either reduce it, move the stop to a level you can accept being gapped through, or close it. Remember that stops can be filled beyond their level in a gap.
4. **Judge the post-news break on the same rules as any other.** After the release candle closes and spreads return to normal, a level that has broken and then *holds on a retest* is a genuine break. News often supplies the catalyst for a real expansion — the retest is how you tell which.

Practice drill



Trade or no trade? A tier-one release broke GBP/USD out of an M15 range with a 32-pip candle. Spreads have long since normalised. Fourteen candles later, price has drifted back to the old range high and the latest candle wicked into the zone and closed back above it.

THE REVEAL



THE ANSWER

Trade. The news candle itself was not tradeable — wide spreads, a gap-like move. But the market then did what a genuine break does: it drifted back over three and a half hours on smaller candles, tested the old ceiling, and printed a pin bar that closed back above the zone. Entry near 58, stop below the wick and the whole zone at about 41 (17 pips), target before the H4 level at about 124 — roughly 3.9R of room. News supplied the catalyst; the retest supplied the confirmation.

Going deeper

Buffers in volatility units. A fixed 3-pip buffer is fine on EUR/USD in London, too tight on GBP/JPY, and meaningless on gold. A more portable rule is a buffer of about 0.1–0.25 × ATR(14) of your execution timeframe beyond the structural point. Test the multiple; record how often stops are hit by less than the buffer.

Time stops. Breakouts that are working usually work quickly. If a retest entry has gone nowhere after, say, 10–15 candles — neither towards the target nor the stop — the expansion thesis is weakening. Some traders exit or reduce at that point. This is worth testing on your data rather than adopting on faith.

Expectancy and partials. Partial profits change the shape of your returns. Hypothetically: a strategy whose winners reach 3R half the time and 1R the other half has an average winner of 2R. Taking half off at 1R on every trade caps half the position at 1R, so the average winner falls to 1.5R — while the win rate rises slightly, because some trades that would have reversed to the stop now bank something. Whether that trade-off helps depends entirely on your data. Measure it.

Correlated breakouts. On a big US data day, EUR/USD, GBP/USD and gold may all break at once. Three breakouts at 1% risk each on the same USD story is one 3% bet. Cap total risk per theme.

Weekend and holiday gaps. A position held over the weekend can open beyond its stop. Breakout traders on H1–H4 generally either flatten before the Friday close or reduce size and accept the gap risk knowingly.

THE RULES

- Stops go beyond the confirmation candle's extreme and the zone, plus a spread or ATR buffer — never inside the zone.
- Position size is calculated from the stop distance and a fixed risk per trade (0.5–1% illustrative).
- The target is the next real higher-timeframe level; measured moves only confirm there is room.
- Require about 2R of room to the first real level before entering.
- No new breakout entries from about 15 minutes before a tier-one release until the first post-release candle has closed.
- Trail only behind confirmed structure; exit on any close back inside the original range.

Summary

- The stop sits where the breakout idea dies: beyond the retest's extreme and the zone, with a buffer.
- Size the position from the stop; never move the stop to fit a preferred size.
- Targets come from the level map; measured moves check room to run, and the level wins when they disagree.
- Manage winners with a written plan: patience to 1R, optional partials, trail behind structure.
- News breaks spike, gap and often reverse; wait for the dust to settle and trade the retest.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Where does the stop go on a retest long?
   A. A fixed 10 pips below entry
   B. Below the confirmation candle's low and the broken zone, plus a buffer
   C. At the middle of the zone
   D. At breakeven immediately
2. A £10,000 account risks 1% with a 25-pip stop. Roughly what value per pip is that?
   A. £1 per pip
   B. £4 per pip
   C. £10 per pip
   D. £25 per pip
3. The measured move projects 80 pips; a daily level sits 50 pips away. Where is the honest target?
   A. 80 pips — the pattern says so
   B. Just before the daily level, around 50 pips
   C. Halfway, 40 pips, always
   D. No target
4. In 'The news spike', what made the release candle untradeable as a breakout?
   A. It was too small
   B. A long-wicked candle formed in thin, wide-spread conditions closed barely beyond the level and reversed
   C. It was on the M15 chart
   D. It broke downward
5. In the post-news drill, what turned the situation into a trade?
   A. The size of the news candle
   B. A controlled drift back to the old ceiling and a pin bar closing back above it, after spreads normalised
   C. The time of day alone
   D. The H4 level
6. You are long three USD-related breakouts at 1% risk each on a US data day. What is the main issue?
   A. Nothing — they are different pairs
   B. They are effectively one ~3% bet on the same theme
   C. Gold breakouts are not allowed

D. You need tighter stops

Capstone: The Complete Breakout & Retest Playbook.

MODULE 4 — MANAGING AND COMPLETING THE TRADE · LESSON 10

Run the whole strategy from level map to exit as a written, step-by-step playbook, and review three full worked trades — including a loser — against it.

Everything in this course now fits on a single page. This capstone assembles it into a playbook you can run before and during every session, then walks through three complete trades from first glance to final exit: two winners and one loser. The loser matters most. A playbook is not proven by its winners; it is proven by whether its losers were small, planned and taken without argument.

A reminder before we start: every chart here is a training chart, illustrative rather than real market data, and nothing in this lesson is a signal or a recommendation. The aim is to show the *process* working, not to suggest any particular result.

The playbook, step by step

Before the session (five minutes)

1. **Calendar.** Note tier-one releases for both currencies in each pair you watch. Mark the no-entry windows.
2. **Level map.** Daily, then H4, then H1. Mark five or six levels per pair. Delete stale lines.
3. **Choose the level.** For each pair, identify at most one level whose break you would trade. Note the next higher-timeframe level beyond it and the room to run.
4. **Grade the consolidation.** Defined boundaries (two or more touches each side), meaningful duration, contraction, and context (trend-aligned or counter-trend). If it is noise, cross the pair off.
5. **Write the plan.** Direction allowed, entry style (retest by default; momentum tranche only for A-grade, trend-aligned breaks in an active session), where the stop would go, and the target.

At the break

6. **Wait for the close.** No close beyond the whole zone, no break.
7. **Grade the candle** A, B or C: close location, body ratio, size versus recent candles, opposing wick, approach. Write the grade down.
8. **Watch the follow-through.** Green, yellow or red. A close back inside the range ends the idea.

At the retest

9. **Alert at the zone.** Judge the pullback's character: a drift is good; a collapse is a no-trade.
10. **Demand a closed confirmation candle** at the zone: pin bar, engulfing, or a strong close away from the zone.

11. **Enter** at that close. **Stop** beyond the confirmation candle's extreme and the zone, plus a buffer. **Size** to 0.5–1% risk (illustrative).
12. **Check the maths.** At least about 2R of room to the target in front of the next real level. If not, no trade.

In the trade

13. Leave it alone until about 1R. Optional partial at 1–1.5R if your testing supports it.
14. Trail behind confirmed structure. Exit at once on any close back inside the original range.
15. Take the target at the level. Journal the trade with its grade, entry style, session and outcome.

Worked trade 1: a range coil in an uptrend (win)



Uptrend above the 50 EMA; a two-day range with rising lows under a ceiling tested five times; daily resistance 76 pips above. A-grade break in London. The retest drifted back over ten candles and printed a pin bar into the zone, closing above it. Entry 60, stop 41 (19 pips), target 122 just under the daily level: about 3.3R.

The plan. EUR/USD was in an H1 and daily uptrend, trading above a rising 50 EMA. For two days it had ranged beneath a ceiling at roughly 1.0894–1.0902, with five rejections and steadily rising lows: a coiled structure with a bullish lean. The next daily resistance sat about 76 pips above the ceiling. The written plan: longs only; retest entry by default; momentum tranche permitted if the break was A-grade in London.

The break. Early in London, a candle closed 18 pips above the zone, about 90% body, roughly twice the average range of the consolidation, with almost no upper wick, after a built approach. Grade A. This trader chose to run the retest-only version on this occasion and simply set an alert at the top of the zone.

The retest. Price drifted back over ten candles on small, mixed bodies — a correction, not a collapse. At the zone a pin bar wicked to 47 and closed at 60, back above the zone.

Execution. Entry at 60. Stop at 41: below the wick, below the zone, plus 3 pips. Risk 19 pips, sized to 1% of the account (illustrative). Target 122, in front of the daily level, giving about 3.3R. The trade was left alone until 1R, then trailed under new higher lows, and reached the target 15 candles later.

Review. Every rule followed. The win is not the point; the rules are.

Worked trade 2: a descending triangle on gold (win, short)



Gold in a downtrend below the 50 EMA formed a descending triangle: a floor tested five times and a series of lower highs pressing into it. A full-bodied H4 candle closed through the floor. The retest rose to the underside of the zone and printed a bearish pin. Short at -11, stop at +16 above the wick and zone plus buffer, target -88: about 2.9R.

The plan. Gold was below a falling 50 EMA on H4, with a descending triangle: a flat floor tested five times and lower highs pressing down into it. Bearish lean, trend-aligned. The next H4/daily support sat roughly $10 below the floor. Plan: shorts only, retest entry.

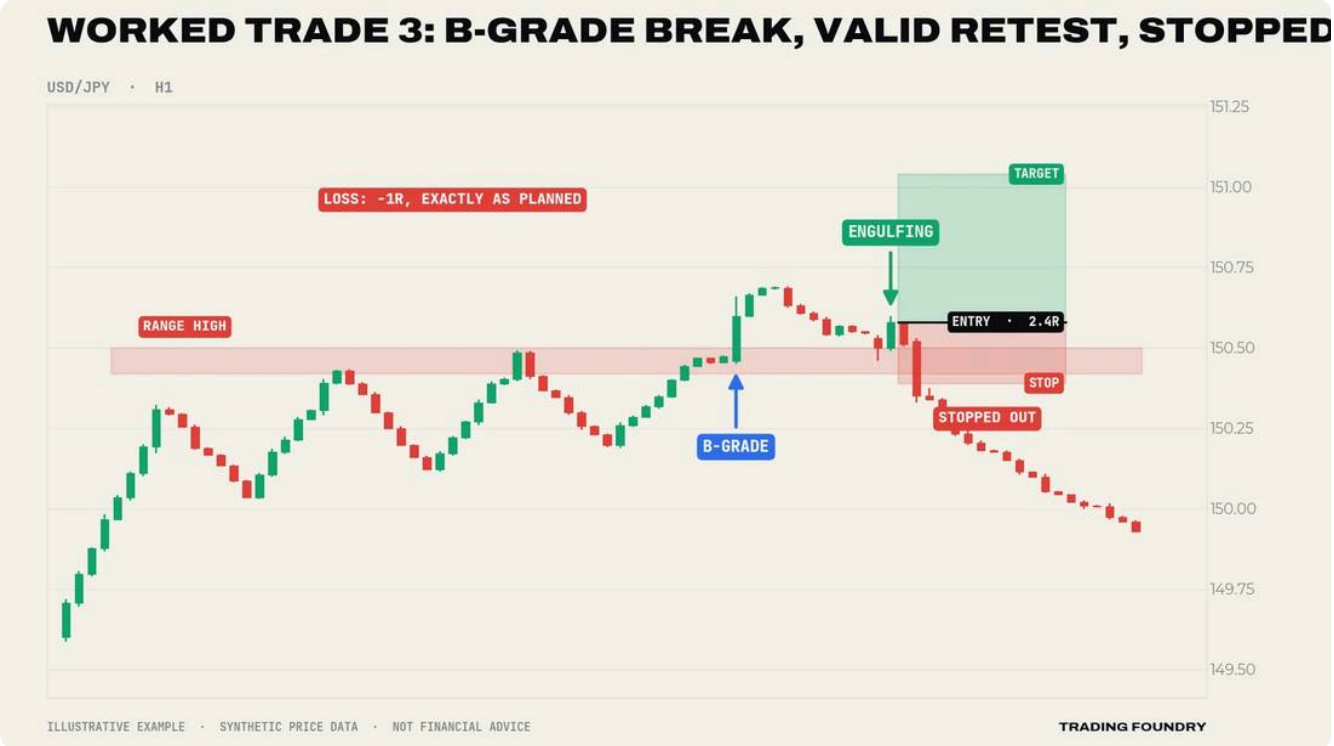
The break. An H4 candle closed about $2.50 below the zone — a full body, about 1.5× average size, built approach. Grade A-minus: fine, retest only per the plan.

The retest. Eleven candles later, price drifted back up to the underside of the old floor. A bearish pin bar wicked into the zone and closed at −11, back below it.

Execution. Short at −11. Stop at +16: above the pin's wick and the zone, with a buffer suited to gold's wider spread. Target −88, in front of the next support: about 2.9R. Reached within ten candles.

Review. Rules followed. The buffer used was larger in pips than on EUR/USD because gold's spread and noise are larger — which is exactly why buffers should be expressed in volatility terms.

Worked trade 3: the retest that failed (loss)



A B-grade break — a decent close but a long upper wick — so the plan was retest only. The retest printed a bullish engulfing candle at the zone, a valid entry. Two candles later a full-bodied red candle closed through the whole zone and the stop at 39 was hit: −1R, 19 pips. Rules followed; the market simply said no.

The plan. USD/JPY on H1 had ranged for two days under a well-tested ceiling, in a neutral-to-mildly-bullish daily context, with about 60 pips of room to the next daily level. Plan: retest entry only.

The break. A candle closed 10 pips above the zone but with an upper wick a third of its range. Grade B. Momentum entry ruled out by the plan.

The retest. Price drifted back over ten candles — though somewhat brisker than ideal — and printed a bullish engulfing at the zone that closed at 58, back above it. Every rule satisfied.

Execution. Entry 58, stop 39 below the engulfing low and the zone plus buffer: 19 pips, 1% risk (illustrative). Target 104 in front of the daily level: about 2.4R.

What happened. Two candles later a full-bodied red candle closed through the whole zone. The stop was hit for −1R. The range low followed.

Review. Were the rules followed? Yes. Was the loss the planned size? Yes. Was there an earlier warning? The B grade and the slightly brisk pullback were both yellow flags, already priced in by restricting the trade to a retest entry. The correct response is to log it and take the next valid setup at the same size. Changing the rules after one loss would mean letting a single outcome rewrite a process that was built on many.

KEY POINT

A good trade is one that followed the plan. A winning trade is just one outcome. Judge yourself on the first; the market decides the second.

Practice drill



Trade or no trade? A strong break, a calm drift back, and a pin bar at the old range high that closed back above it. Entry would be about 57 with a stop at 41. Run the final playbook check before you reveal.

THE REVEAL



THE ANSWER

No trade — step 12 fails. The retest was textbook, but daily resistance sat at 74, just 17 pips above entry, against a 16-pip stop: barely 1R of room to the first real level. The break had already stalled at that daily level once. Price bounced to it, failed again and fell back through the range. The level map vetoes a perfect pattern.

The strategy passport

Market	Major FX pairs and gold, H1–H4, London and New York hours, with a clear higher-timeframe bias
Wait for	A coiled consolidation (2+ touches each side, contracting) under or above an obvious, recent level with at least 2R of room beyond
Trigger	A close clearly beyond the zone (grade A or B), then a retest holding the broken level with a closed pin bar, engulfing or strong close. Momentum tranche only on A-grade, trend-aligned breaks in an active session
Stop	Beyond the confirmation candle's extreme and the zone, plus a spread/ATR buffer; size to 0.5–1% risk (illustrative)
Target	In front of the next real higher-timeframe level, cross-checked with the measured move
Avoid	Wick-only breaks, C grades, sloppy ranges, breaks into nearby walls, apex breaks, dead sessions, tier-one news windows, and any break that closes back inside

Going deeper: testing the playbook

A playbook is a hypothesis until you have tested it. A practical sequence:

1. **Historical review.** Scroll back through at least 100 qualifying breaks on your chosen pairs and timeframe. For each, record the level quality, candle grade, entry style, session, trend alignment and the outcome in R — including the breaks that never retested.
2. **Split the results.** Compare trend-aligned with counter-trend, A with B grades, London with New York, retest with momentum. The differences tell you which filters earn their place.
3. **Demo forward test.** Trade the written rules on demo for at least a month, or 30–50 trades, without changing them. You are testing your execution as much as the rules.
4. **Review monthly.** Change one rule at a time, and only when the data — not the last loss — says so.

The numbers you collect are the only ones that matter. This course has deliberately not quoted win rates, because they depend on market, timeframe, session and the exact definitions you use. Yours will be specific to you, and that makes them more useful than any general figure.

THE RULES

- Write the plan before the session: level, allowed direction, entry style, stop location, target.
- Only a close beyond the whole zone is a break; grade it A, B or C in writing.
- Default to the retest; momentum entries only for A-grade, trend-aligned, active-session breaks.
- Stop beyond the confirmation candle and the zone plus buffer; risk a fixed 0.5–1% (illustrative).
- No trade without about 2R of room to the next real level.
- Exit on any close back inside the original range. Never widen a stop.
- No new entries in tier-one news windows.

PRE-TRADE CHECKLIST

- ☐ Calendar checked; no tier-one release within the entry window
- ☐ Level is obvious, tested (2+ touches) and recent; drawn as a zone
- ☐ Consolidation is coiled, with defined boundaries and contraction
- ☐ Higher-timeframe direction noted; trade direction allowed by the plan
- ☐ Breakout candle closed clearly beyond the zone and graded A or B in writing
- ☐ Follow-through was green or a calm pause — no close back inside
- ☐ Pullback to the zone was a drift, not a collapse
- ☐ Closed confirmation candle at the zone (pin bar, engulfing or strong close)
- ☐ Stop beyond the signal candle and the zone, plus buffer
- ☐ Position sized to a fixed 0.5–1% risk (illustrative)
- ☐ At least about 2R of room to the target in front of the next real level
- ☐ Exit plan written: trail behind structure, exit on reclaim, take the target

Summary

- The playbook runs in four stages: before the session, at the break, at the retest, in the trade.
- Worked trades 1 and 2 show the full process on a range and a triangle; trade 3 shows a valid trade losing exactly 1R.
- The level map can veto a perfect pattern, as the drill showed.
- The passport and checklist compress the whole course onto one page.
- Test the playbook on at least 100 historical breaks and a demo period before trusting it.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In worked trade 1, why was the retest entry valid?

   A. Price touched the zone

   B. A pin bar wicked into the zone and closed back above it after a calm drift

   C. The breakout candle was A-grade

   D. The 50 EMA was rising

2. Worked trade 3 lost 1R. How should it be judged?

   A. As a mistake that proves the strategy fails

   B. As a good trade: rules followed and the loss was the planned size

   C. As a reason to widen stops next time

   D. As a reason to switch to momentum entries

3. In the final drill, which playbook step failed?

   A. The candle grade

   B. The pullback character

   C. Step 12: barely 1R of room to the daily level

   D. The confirmation candle

4. Why did worked trade 2 use a larger buffer than trade 1?

   A. Gold always needs 50 pips

   B. Gold's spread and noise are larger, so buffers are best expressed in volatility terms

   C. Short trades need wider stops

   D. H4 charts require double stops

5. Under the playbook, a B-grade break in London, aligned with the trend, allows which entry?

   A. Momentum at full size

   B. Retest only

   C. No entry

   D. Momentum with half size and no stop

6. What is the recommended first step to test this playbook?

   A. Trade it live at 5% risk

   B. Review at least 100 historical breaks, logging grade, entry style, session and outcome in R

   C. Copy someone else's win rate

   D. Change a rule after every loss

Strategy passport.

The whole setup on one page. Print it and keep it by your screen.

MARKET

Major FX pairs and gold on H1–H4, during London and New York hours, with a clear higher-timeframe bias

WAIT FOR

A coiled consolidation (at least 2 touches on each side, shrinking candles) against an obvious, recent level with room to run beyond it

TRIGGER

A strong-bodied candle closing beyond the level, then a retest that holds the broken level on a close (rejection wick, pin bar or engulfing) — momentum tranche only in A-grade, trend-aligned conditions

STOP

Beyond the retest rejection low/high and the broken-level zone, plus a spread buffer; risk 0.5–1% of the account (illustrative)

TARGET

The next real higher-timeframe level, cross-checked against the measured move (range height or flag pole); partial at 1R–1.5R optional

AVOID

Wick-only breaks, breaks straight into a bigger level, sloppy ranges, dead sessions, the minutes around tier-one news, and any break that closes back inside the range

Quiz answers.

Lesson 1, Q1: B. Forced short covering plus fresh breakout entries create concentrated buying in a thin part of the order book. The other options are not the mechanism.

Lesson 1, Q2: B. A close back inside the range ends the breakout idea. Breaking the range low happened later — by then the damage to breakout buyers was done.

Lesson 1, Q3: B. The break itself can be perfect and still fail because it runs straight into a higher-timeframe wall. Check the map beyond the level before entry.

Lesson 1, Q4: C. Rising lows into a ceiling show buyers arriving earlier — a sign of a built, healthier break. The other three are classic failure warnings.

Lesson 1, Q5: C. (0.4 × 2) − (0.6 × 1) = 0.8 − 0.6 = +0.2R. A lower win rate can still be positive if losses stay small — the numbers here are illustrative only.

Lesson 1, Q6: B. After repeated traps, traders often skip the next valid break. A written process stops the last trade from deciding how you treat the next one.

Lesson 2, Q1: B. Compression signals stored energy and rough timing. Direction comes from the break itself, as the gold chart showed.

Lesson 2, Q2: B. Defined boundaries, meaningful duration and contraction are all present. The others lack duration, contraction or boundaries.

Lesson 2, Q3: B. Converging highs and lows — each swing shorter than the last — is the visual signature of compression.

Lesson 2, Q4: B. Rising lows show buyers' impatience. It is a lean, not a guarantee — downside breaks still happen.

Lesson 2, Q5: B. The initial push collects stops on one side and fails; the real expansion follows in the opposite direction. The retest entry helps filter it.

Lesson 2, Q6: B. A narrow overnight range usually reflects absent participants rather than days of positions building — it is a different setup with its own behaviour.

Lesson 3, Q1: B. Breakouts run on the crowd's orders. A level nobody sees has no fuel behind it.

Lesson 3, Q2: B. Treated as a line, the level was 'broken' by wicks. Treated as a zone and judged on closes, it held every test.

Lesson 3, Q3: B. The higher timeframe governs direction and where to take profit; the execution timeframe governs when to act.

Lesson 3, Q4: B. Room to run measured in risk units is about 1.25R, below the illustrative 2R filter. Widening the stop makes it worse.

Lesson 3, Q5: B. Quality describes the level. The trade needs the break (a close beyond the zone) and, by this course's default, a holding retest.

Lesson 4, Q1: B. Only the close counts. A long upper wick with a close inside the zone shows the orders above were absorbed.

Lesson 4, Q2: B. Healthy size, a dominant body, a clear close beyond the zone and little opposing wick. The 5x candle risks exhaustion and an unusable stop.

Lesson 4, Q3: B. Buying the close of a 60-pip candle forces a 60-pip-plus stop to reach structural invalidation, which ruins the trade maths.

Lesson 4, Q4: B. Stalling with no progress after a break is a warning; the close back inside that followed was the red card.

Lesson 4, Q5: B. B grades are restricted to the retest entry; momentum entries are reserved for A grades in favourable conditions.

Lesson 4, Q6: B. Spot FX is decentralised; tick volume approximates activity at one broker. It may support, but should not override, the close and follow-through.

Lesson 5, Q1: B. Same target, but a 16-pip stop instead of a 36-pip stop — the entry at the retest sat right next to its invalidation point.

Lesson 5, Q2: B. Urgent breaks often do not retest, so the retest trader systematically misses some of the best moves.

Lesson 5, Q3: B. A valid retest is a controlled return that holds. A violent candle straight through the level is a failed break, not a retest.

Lesson 5, Q4: B. Momentum entries are reserved for A-grade, trend-aligned breaks in active sessions. The others call for the retest or no trade.

Lesson 5, Q5: B. The money at risk is split; each half's lot size is calculated from its own stop distance, so the tighter-stopped half carries more lots.

Lesson 5, Q6: B. Without the missed trades, a backtest flatters the retest approach and conceals what it gave up.

Lesson 6, Q1: A. Closing a short is a buy order, and trapped shorts tend to close near their entry — right at the old level.

Lesson 6, Q2: B. The trigger is a closed confirmation candle at the zone. A touch alone is not evidence that the level is holding.

Lesson 6, Q3: B. A pullback faster and stronger than the breakout leg signals sellers taking control, and no confirming close formed.

Lesson 6, Q4: B. The zone was already accounted for inside the stop. A close through the whole zone invalidates the trade.

Lesson 6, Q5: B. Mirror of the long rule: beyond the signal candle's extreme and beyond the zone, with a spread buffer.

Lesson 6, Q6: B. Waiting for a closed candle filters many failing retests but gives up some fills and some price.

Lesson 7, Q1: B. The reclaim close is the confirmation. A wick or a stall is a warning, not proof.

Lesson 7, Q2: B. The trade is wrong if price exceeds the poke's high — at that point the break has become real.

Lesson 7, Q3: B. Fading a coiled, trend-aligned structure bets against both trend and lean — the weakest context for a reclaim trade.

Lesson 7, Q4: B. Describe what the chart shows; intent is the framework's story and cannot be verified. Price first. Framework second.

Lesson 7, Q5: B. Both the pattern (close back inside) and the context (counter-trend break) supported the fade.

Lesson 7, Q6: B. Measure reward-to-risk before entry. A pullback entry can improve it; shrinking the stop arbitrarily puts it inside the noise.

Lesson 8, Q1: B. No pole, no flag. The pole is the evidence of urgency the pattern depends on.

Lesson 8, Q2: B. A rest that retraces most of the pole and drags on for a long time is a range, not a flag.

Lesson 8, Q3: B. The flat side is where the defended supply sits; its break is the meaningful event.

Lesson 8, Q4: B. Symmetricals carry the least directional information. Trade the confirmed break, demanding more evidence when it fights the prior trend.

Lesson 8, Q5: B. Apex breaks have usually leaked their energy, and the converged lines leave no sensible invalidation point.

Lesson 8, Q6: B. Measured moves are estimates. A real higher-timeframe level overrides the arithmetic.

Lesson 9, Q1: B. That is where the idea — the level holding as support — is proven wrong, with room for spread and noise.

Lesson 9, Q2: B. £100 risk ÷ 25 pips = £4 per pip. Illustrative figures only.

Lesson 9, Q3: B. The level map wins over arithmetic. Real orders sit at the daily level.

Lesson 9, Q4: B. News candles can jump through levels without orders being tested there; this one closed just 4 pips above with a huge wick.

Lesson 9, Q5: B. News supplied the catalyst; the retest with a confirming close supplied the evidence.

Lesson 9, Q6: B. Correlated positions share one driver. Cap total risk per theme.

Lesson 10, Q1: B. A touch is not enough; the trigger is a closed confirmation candle at the zone after a controlled pullback.

Lesson 10, Q2: B. Process is the measure. A valid trade that loses its planned 1R is the method working.

Lesson 10, Q3: C. The pattern was clean, but the level map left no room. No 2R, no trade.

Lesson 10, Q4: B. Buffers should scale with the instrument's volatility and spread, for example as a fraction of ATR.

Lesson 10, Q5: B. Momentum tranches are reserved for A-grade, trend-aligned, active-session breaks; B grades are retest only.

Lesson 10, Q6: B. Historical review builds your own evidence; then a demo forward test checks execution.